Annual Report 2000

2000

▸2000 ▸2001 ▸2002 ▸2003

Telekom Austria

jet2web

Key Data

Key Data – Operations:	2000	1999	1998
PSTN access lines (in 1,000)	2,929.1	3,201.6	3,570.1
Basic ISDN access lines (in 1,000)	331.9	247.0	152.2
Multiple ISDN access lines (in 1,000)	8.0	5.6	4.1
Total access lines (in 1,000)	**3,269.0**	**3,454.2**	**3,726.4**
of these ADSL access lines (in 1,000)	38.5	0.9	-
Total access channels (in 1,000)	**3,832.9**	**3,862.4**	**3,996.6**
Mobilkom Austria customers (in 1,000)	1,336.6	1,218.4	955.5
Mobilkom Austria prepaid customers (in 1,000)	1,467.7	1,041.4	525.4
VIP-Net customers (in 1,000)	531.4	155.1	-
Total number of mobile communications customers (in 1,000)	**3,335.7**	**2,414.9**	**1,480.9**
Internet customers in Austria	**293,400**	**106,100**	**58,800**
Internet customers in the Czech Republic	**188,700**	**94,500**	-
Employees*	**18,560**	**18,650**	**18,720**

Key Data – Finances (in EUR mill.) according to US GAAP:	2000	1999	1998
Telekom Austria Group (total managed figures)			
Operating revenues	3,905.3	3,775.9	3,438.3
EBITDA**	1,016.5	1,477.9	1,798.8
Operating income/loss	-31.5	493.7	904.9
Telekom Austria AG (consolidated)			
Operating revenues	2,814.4	2,948.2	2,830.4
EBITDA**	578.6	1,122.6	1,412.3
Operating income/loss	-292.6	267.6	604.0
Net (loss) income	-285.6	200.2	429.5
Property, plant and equipment, net	5,069.5	5,411.1	5,603.1
Stockholders' equity	2,603.6	3,030.1	3,163.4
Net debt**	3,276.2	2,405.6	2,065.7
EBITDA margin (in %)	20.6	38.1	49.9
Mobilkom Austria AG (consolidated)			
Operating revenues	1,500.1	1,242.4	913.1
EBITDA**	437.9	355.3	386.5
Operating income	261.1	225.8	300.8
Net income	167.5	155.6	182.6
Property, plant and equipment, net	753.0	581.2	397.1
Stockholders' equity	801.4	721.0	642.5
Net debt**	485.1	235.8	80.3
EBITDA margin (in %)	29.2	28.6	42.3

* full-time employees (average for the year) ** see Glossary for definition

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The Company

The Telekom Austria Group has Group sales of EUR 3.9 bill. and a staff of 18,560, which makes it the largest telecommunications group in Austria. Since its IPO on 21 November 2000, Telekom Austria has had a market capitalization of about EUR 3 bill. (31 December 2000). As a result, its shares have one of the strongest weightings on the Vienna Stock Exchange. The company is, at the same time, the first Austrian company to be listed on the New York Stock Exchange.

Business activities fall into four strategic segments, in all of which Telekom Austria is market leader in Austria:

- fixed line services
- mobile communications
- data communications
- Internet

Telecom Austria has activities in Internet business and/or in mobile communications in Liechtenstein, Croatia, Slovenia and the Czech Republic.

Business segments

The leader in telecommunications in Austria

In the fixed line business Telekom Austria had a market share of 63% (based on minutes) as of 31 December 2000, taking care of a total of more than 3.3 million subscriber lines, of which 340,000 are ISDN lines and 38,500 ADSL lines. The network is fully digitized.

Through Mobilkom Austria, the Telekom Austria Group covers Austria, Croatia, Liechtenstein and – since February 2001 – Slovenia with its mobile communications business. As of 31 December 2000, Mobilkom Austria had a total of more than 3.3 million customers. The Telekom Austria Group, which holds a market share of about 45% in Austria and of more than 52% in Croatia, is the market leader in these two countries. With Datakom Austria, the Telekom Austria Group holds a leading position on the Austrian data communications markets, especially in the areas of leased lines and switched data networks. Within the Group, Datakom Austria will assume the role of solution provider and system integrator in the future.

With more than 293,000 customers and a market share of approximately 28% of residential Internet access lines, Telekom Austria is the leading Internet provider both in Austria through its company Jet2Web Internet and in the Czech Republic through its company Czech On Line.

The objectives

The Telekom Austria Group is well on its way to become a comprehensive, full-service provider for all telecommunications areas. Through the fixed line and mobile broadband access technologies, residential and business customers will be offered advanced voice, data, multimedia and content services. These are the strategic goals:

- To increase profitability while, at the same time, strengthening the market position as Austria's leading telecommunications operator and provider of products and services in the areas of fixed line services, mobile communications, data communications and the Internet.
- To exploit to the optimum extent the expected market growth by transforming the group of companies into a comprehensive, full service communications provider.

The objectives will be reached by utilizing the Group's excellent market position and competitive strength, as well as by consistently implementing the restructuring process. The focus of investment activities has already been put on innovative, advanced products and services, third generation access technologies and new networks that are based on the Internet technology (All IP networks).

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The Jet2Web Brand

Since mid-2000 the Telekom Austria Group has been present on the Austrian market with the brand name Jet2Web. This is the umbrella brand name for all companies and products of the Telekom Austria Group. The company names (Telekom, Mobilkom, as well as Datakom) will continue to be elements of the invididual companies' brand names. Under the new umbrella brand name Jet2Web, Telekom Austria offers all services of interconnected communication – and is the first to do this in Austria.

The Jet2Web brand was developed on the basis of the strategic new positioning for the group of companies: The focus of this new orientation is on the semiotic, content and technological level. The business re-engineering process is thus also reflected in the change of image, by way of a corporate identity process, and progressive market communication.

Improving efficiency through an umbrella brand strategy

All companies of the Telekom Austria Group appear with a uniform and recognizable image. Existing product brands are integrated in such a way that they maintain their strength and identity. This umbrella brand strategy optimizes the orientation towards product diversity and enhances the potential for identification. The accompanying synergies increase the communicative impact and facilitate a more efficient use of budgeted funds.

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Highlights & Milestones

January 2000 The approval granted by the Telecom Control Commission to a-sign, the digital signature service, makes Datakom Austria the first official Internet certification provider in Austria.

February 2000 Successful operations of VIP-Net: The Croatian subsidiary of Mobilkom Austria succeeded in acquiring 156,000 customers during the first seven months of its operation, which corresponds to a market share of more than 50%.

March 2000 Mobilkom Austria is the first WAP operator in Austria to provide its customers with a WAP portal with a personalized configuration.

April 2000 Telekom Austria is given a new Management Board: The Supervisory Bord appoints Heinz Sundt as new Chief Executive Officer, Stefano Colombo as Chief Financial Officer as well as Vice Chairman of the Management Board, Rudolf Fischer is re-appointed as Chief Technical Officer.

May 2000 The Supervisory Board of Telekom Austria appoints Heinz Brasic as Chief Marketing Officer. Telekom Austria thus has a complete management team and begins the transformation of the company.

June 2000 The Telekom Austria Group embarks on a strategic and image-related new positioning policy with the umbrella brand Jet2Web.

July 2000 Telekom Austria acquires Czech On Line a.s., the Internet service provider. By year-end 2000, the Czech market leader in this business segment succeeds in doubling the number of its customers, compared with 1999.

August 2000 Mobilkom Austria is one of the first mobile communications providers worldwide to provide a commercial GPRS network throughout Austria for mobile data services.

September 2000 Telekom Austria converges its fixed line, Internet and multimedia activities in the new Internet subsidiary Jet2Web Internet, with retroactive effect as of 1 July 2000. Datakom Austria becomes a certified Cisco Gold Partner, which is the highest award of this specialist with worldwide leadership in the areas of network design, management and security.

October 2000 Mobilkom Austria expands its activities abroad and increases its share in the Croatian VIP-Net to 61%. Telekom Austria implements an Austrian broadband backbone (JetStream) with a capacity of up to 320 Gbit/s.

November 2000 On 21 November 2000 Telekom Austria shares are quoted on the Vienna Stock Exchange and the New York Stock Exchange (NYSE) for the first time. Mobilkom Austria wins in the UMTS licences auction (price: EUR 171.5 mill.). Telekom Austria decides to bundle its know-how for establishing and operating networks in its engineering company Jet2Web Networks.

December 2000 Datakom Austria assumes its role as solution provider and system integrator in the Telekom Austria Group for its key accounts.

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Management Board

Heinz Sundt	Chairman of the Management Board, Chief Executive Officer
Stefano Colombo	Vice Chairman of the Management Board, Chief Financial Officer
Rudolf Fischer	Chief Technical Officer
Heinz Brasic*	Chief Marketing Officer

from left to right: Rudolf Fischer, Stefano Colombo, Heinz Sundt, Heinz Brasic*

* Heinz Brasic retired as Chief Marketing Officer on 10 April 2001.

Upon decision by the Supervisory Board of 11 April 2000 the following Members of the Management Board retired from the Management Board of the company: Werner Kasztler (Chief Executive Officer), Alberto Mazzarelli (Chief Financial Officer) and Claudio Albanese (Chief Marketing Officer).

Supervisory Board

Johannes Ditz (Chairman)	since 2 March 2000
Rudolf Streicher (Vice Chairman)	since 2 March 2000
Günther Chaloupek	since 17 September 1999
Oscar Cicchetti	since 29 May 2000
Stephan Koren	since 17 September 1999
Giulia Nobili	since 17 September 1999
Gerhard Zeiler	since 23 July 1998
Otto G. Zich	since 17 September 1999
Josef Ebner	since 29 September 2000
Helmut Hospodar	since 23 July 1998
Karl-Heinz Muik	since 23 July 1998
Robert Sulzbacher	since 22 December 1998
Josef Sindelka (Chairman)	until 2 March 2000
Josef Stiegler (Vice Chairman)	until 2 March 2000
Massimo Masini	until 29 May 2000
Hans Billeth	until 29 September 2000

Introduction by the Supervisory Board

Ladies and Gentlemen,

Telekom Austria´s third complete business year was marked by the preparations for the IPO on 21 November 2000, which was the biggest capital market transaction in Austria to date. Telekom Austria shares are not only listed on the Vienna Stock Exchange, but the Group is also the first Austrian company to be quoted on the New York Stock Exchange (NYSE), which can certainly be considered as the world´s most important stock market. Telecom sector shares subsequently came under international pressure – a trend to which Telekom Austria shares eventually also succumbed. I am convinced, though, that the new management of Telekom Austria, which was appointed during the year under review, will guide the company in a direction that will have positive implications for all shareholders and will achieve the turn-around forecast at the time of the IPO.

The Telekom Austria Group has been structured into four clearly defined business segments, under the new umbrella brand name Jet2Web, in order to improve organizational procedures as well as for the purpose of securing the market shares in all segments. The segments are fixed line services, mobile communications, data communications and the Internet. Parallel to that, the W.E.R.T. program, which is a comprehensive reorganization plan, was drawn up. Telekom Austria Personalmanagement GmbH developed innovative instruments to restructure our human resources in order to adapt the staff level of our core business to market requirements and European productivity benchmarks.

Setting up Jet2Web Internet to bundle all Group activities in the multimedia and Internet areas and positioning Datakom within the Group as a solution provider and system integrator were clear signs of the transformation process which is currently under way also in the new engineering company Jet2Web Networks. Telekom Austria continued its policy of targeted acquisitions in the area of international mobile communications and on Internet markets by acquiring Czech On Line, the biggest Internet provider in the Czech Republic, in July 2000 and by increasing the share of Mobilkom Austria in VIP-Net, the Croatian GSM network operator.

The further evolution of the Telekom Austria Group into a publicly quoted company, achieved under difficult framework conditions, and the completed phases in the transition to a full-service communications company are success stories on which we can build in the years to come. The Telekom Austria Group must pursue further the goal of consistently enhancing the value of the company, as well as continuing, in the year 2001, the transformation process which was already begun in 2000.

I would like to take this opportunity to thank the Members of the Management Board and all employees of Telekom Austria for their achievements during the year under review.

Vienna, April 2001

Johannes Ditz
Chairman of the Supervisory Board of Telekom Austria

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Introduction by the CEO

Ladies and Gentlemen,

The fiscal year 2000 can be regarded as a year of change, in every respect, in the history of Telekom Austria. The outstanding event of the year was certainly the IPO of Telekom Austria in November, in the course of which 22.4% of the share capital was placed on the stock market in Vienna and - for the first time for an Austrian company – on the New York Stock Exchange (NYSE). This step marked a first highlight in the thorough transformation of the Group, which the newly formed Management Board had set itself as a goal in the spring of the year under review. Taking account of the internationalization of its shareholder base, Telekom Austria is presenting – for the first time – its financial figures in accordance with US GAAP, the accounting principles applicable in the United States.

Summary of the Group key data of Telekom Austria (in EUR mill.)	**2000**	**1999**	**change in %**
Operating revenues	3,905.3	3,775.9	3.4
EBITDA	1,016.5	1,477.9	-31.2
Operating income (loss)	-31.5	493.7	–
Additions to property, plant and equipment	917.7	983.2	-6.7
Employees *	18,560	18,650	-0.5

* full-time employees (average for the year)

The course of business in 2000

The business activities of Telekom Austria during the fiscal year 2000 were dominated by the aforementioned transformation which clearly focuses on restructuring the fixed line operations.

The increase of 3.4% in total managed operating revenues is mainly due to the successful evolution of the growth segments: mobile communications, data communications and Internet. With a customer growth rate of nearly 40% to more than 3.3 mill., mobile communications benefited from the mobile phone boom in Austria and from the considerable market potential in Croatia. With growth of more than 10%, Datakom Austria has once again given proof of its excellent market position as a service provider for the business community in Austria. The Internet activities have experienced customer growth of nearly 177% in Austria, providing an excellent basis for its future new structure as an independent segment – a development that began in Austria during the year under review.

Rapidly growing competition and, at the same time, more intensive measures to adapt the fixed line segment to the changed framework conditions contributed essentially to the decline in EBITDA to EUR 1 bill. Operating results amounted to EUR -31.5 mill.

The lower volume of capital expenditures and their focus on broadband activities are a major element of the new orientation of Telekom Austria. By reducing additions to property, plant and equipment by nearly 7% to EUR 917.7 mill. we established a sound basis for this goal during the year under review.

Since staff figures in the fixed line segment fell by 4.7%, while rising for the other business segments, there was ultimately a slight decrease in the Telekom Austria Group staff level (18,560).

A new positioning under the newly formed Management Board

In April 2000 the Supervisory Board nominated me as the new Chairman of the Management Board (CEO) and Stefano Colombo as the new Chief Financial Officer (CFO). Rudolf Fischer was again appointed as Chief Technical Officer (CTO), and in May Heinz Brasic joined the Management Board as new Chief Marketing Officer (CMO). On the basis of a detailed analysis of business development and the competitive situation we decided to initiate a completely new positioning of the Group. While up until now the operations of mobile and fixed line networks as well as the internet have been seperate businesses, the new broadband IP technologies will turn the Group into a comprehensive full-service provider for voice, data, image and multimedia communications. In June 2000, the new corporate design and the new umbrella brand name Jet2Web were launched, to give expression to and communicate the new positioning. As a result, all services of the Group have been integrated. In an increasingly complex market we provide customers with a clear point of reference and are able to use all means of communication effectively.

Strategic orientation for a basic change

The new IP technologies, such as GPRS, UMTS and ADSL, make it possible for us to develop completely new services for our customers. At the same time, it is our objective to maintain, in the best possible manner, our market share in the traditional voice business under competitive circumstances. Our strategy is based on three pillars:

1. We have embarked on a change in our corporate culture, thereby introducing responsibility for results at the first and second management level (Management by Objectives). The major part of the first management level has joined a stock options program.

2. Our customers are at the center of our activities. As of 1 July 2000 we introduced considerable tariff reductions in the fixed line segment. The marketing and sales divisions have been aligned to the customer groups, they have been completely reorganized, and the product development and time-to-market cycles have been shortened considerably. In December we opened the first Jet2Web store, where our customers are offered a multi-media shopping experience.

3. We are significantly improving our profitability. We will be able to achieve a sustainable increase in the Group's profitability by reducing the staff level in the fixed line segment by one third (a general cost reduction program) and by reducing and prioritizing capital expenditures.

Transformation as a prime target

To allow a rapid and consistent transformation from network operator to full-service provider, Telekom Austria launched a comprehensive program (W.E.R.T.) for promoting growth in the second half of 2000, improving results and restructuring the fixed line segment. Almost 40 projects were defined and we have already begun to implement them. A few examples of these projects are restructuring our human resources, putting corporate property to good use, converging the logistics centers, benchmarking investments, consolidating the IT functions, introducing new controlling tools and reorganizing the purchase management.

Opening up new business areas

By opening up new business areas we will make up for the decrease in voice telephony revenues due to market liberalization. As of July 2000 Jet2Web Internet Services GmbH was founded in order to bundle the fixed line Internet activities. The objective of this new company is to expand the market leadership of the Group as an Internet service provider and to generate revenues from the operation of portals and from e-commerce. We opened up another business area by establishing Jet2Web Network Services GmbH in November 2000. This subsidiary actively markets the network resources of the Telekom Austria Group to alternative network operators and Internet service providers.

Intensive partnership with Telecom Italia

The strategic partnership with Telecom Italia was intensified in the course of the year 2000 in the areas of product development, technology road maps and investment benchmarking. This close cooperation makes it possible to negotiate better contracts with suppliers, to put complex technology decisions on a sound basis and to implement innovative services more expeditiously.

The development of the business segments

During the fiscal year 2000 we demonstrated that Telekom Austria is a pioneer in broadband communications in Europe. We did this by expanding ASDL technology across the country, which led to an increase in ASDL lines to 38,500. Thanks to this, as well as the marketing of ISDN channels, which took place simultaneously and yielded a similar success, it was possible to nearly offset the decrease in traditional telephone lines. Tariff reductions and growing competition, which took on an additional dynamism on account of regulatory decisions (phone number portability and operator pre-selection) led to a decline in turnover in the fixed line segment of 5.8% to EUR 2.7 bill. At the same time, we launched a restructuring program in order to reduce our staff levels. Expenses for this program amounting to EUR 253 mill. along with lower revenues contributed considerably to the decrease in EBITDA to EUR 519.5 mill. (following EUR 1,077.1 mill. for the previous year).

We succeeded in increasing our turnover in the mobile communications segment by 20.7% to EUR 1.5 bill., while EBITDA rose by 23.2% to EUR 437.9 mill. Our activities in Croatia, where VIP-Net succeeded in obtaining a positive operating result during its first full year of operations, contributed substantially to this development. Mobilkom Austria, which has a market share of about 45%, successfully defended its market leadership, even after the appearance of a fourth competitor on the Austrian market. With the introduction of the GPRS technology on a national and commercial basis in August 2000, the company is now one of the top operators in this field worldwide. This step is an important basis for the successful application of the UMTS licence, which we obtained at very favorable conditions – by European comparisons – in November 2000.

In data communicatons, the increase of 10.5% in operating revenues to EUR 309 mill. is mainly due to higher revenues from corporate networks. Our competence in this field is the basis for a new positioning of Datakom Austria as a solution provider and system integrator for key account customers of the Telekom Austria Group.

"Other segments" primarily comprises revenues from Internet activities, to the extent that they are not shown in other segments. The figures also include, among other things, Czech On Line, the market leader in the Czech Internet business that we acquired during the year under review. Jet2Web Internet succeeded in utilizing to the optimum the growth in Internet penetration in Austria during the year under review, by offering an attractive range of products and favorable tariffs. As a result, market share in the residential customer Internet business rose from 22% to 28%.

Going public in Vienna and New York

The IPO on 21 November 2000 was the biggest such event to take place on the Vienna Stock Exchange. It was also the first time that an Austrian company went public on the New York Stock Exchange (NYSE). As a result, the free float now amounts to 22.4%. ÖIAG currently holds a share of 47.8%, while Telecom Italia owns 29.8%. Altogether 35% of the demand came from Austria and 65% from other countries.

The entire issuing phase was characterized by a rapidly deteriorating environment in the industry, which became even more negative at the end of the year. Telekom Austria's share price eventually succumbed to this industry trend. However, since its launch the Telekom Austria's share price has performed in line with sector trends. Since the beginning of 2001, a very positive performance has been seen compared with the industry average.

With approximately 90,000 shareholders, Telekom Austria is Austria's biggest publicly quoted company. We are particularly pleased to note that about two thirds of our employees have also become Telekom Austria shareholders. Approximately 150 of our Group managers participated in a stock options program, which gives additional support to the corporate goal of increasing the shareholder value.

On behalf of all Members of the Management Board I would like to thank all employees for this impressive expression of their identification with the company and for their full commitment which contributes towards making the restructuring process a full success.

Outlook

With its pronounced competition, the Austrian telecommunications market is considered to be one of the most liberalized markets within the European Union. In view of the comparatively high number of fixed line and mobile communications operators the loss in market share is a logical development of the liberalization process. It is our goal to slow down the loss of market share and to stabilize it at a strategic level, as well as to win additional market share in new business segments, such as the Internet.

The year 2001 will be characterized primarily by the successful implementation of the restructuring process, which will lead to marked improvements in business results. The fixed line business at the center of this transformation will see a major decrease in staff levels. At the same time, the Group's base of new products and services will be expanded by stepping up the focus on broadband technologies. In the mobile communications business, the use of new technologies that open up additional sources of revenue and the increasing contribution from our activities in Croatia are becoming more and more important. In data communications the new positioning of Datakom Austria as a solution provider and system integrator for key account customers of the Group will be the top priority for activities during 2001. For the Internet activities, 2001 will be the year to implement the new broadband and IP-oriented Group strategy among residential and business customers. We were able to significantly expand our market position at the beginning of the new fiscal year by acquiring 70,000 customers from lion.cc, the Internet subsidiary of Libro AG. From 2001, the Internet activities will be shown as an independent business segment.

The high technical efficiency of the mobile and fixed networks and the competence of employees are prerequisites for implementing new IP-based services for our networks so that we will remain our customers' first choice. We will continue our prudent international acquisitions policy in the years to come and implement commercially attractive projects in the south-eastern part of Europe in the areas of mobile communications and the Internet.

Vienna, April 2001

Heinz Sundt
Chairman of the Management Board and
Chief Executive Officer

Fixed Line
Mobile

Business Development in 2000

The transformation and the IPO were the dominant features of business development at the Telekom Austria Group in the year 2000. The year under review was a milestone in the evolution from a classic voice communications operator to a modern, full-service communications provider. The Group has services and products in the areas of fixed line, mobile and data communications as well as the Internet.

Data
Internet

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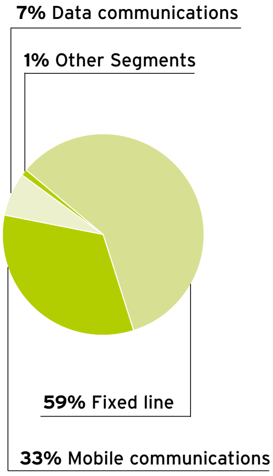
The Telekom Austria Group

The business activities of the Telekom Austria Group are in the areas of fixed line services, mobile and data communications as well as the Internet.

59% of the operating revenues of the Telekom Austria Group are generated by fixed line operations, one third comes from mobile communications and the rest from data communications and other business segments. Other business segments primarily include revenues from Internet activities, to the extent that these are not shown in connection with other segments.

Operating revenues in 2000
Telekom Austria Group
(not consolidated)



During the fiscal year 2000 the total managed operating revenues of the Telekom Austria Group rose by 3.4% to EUR 3.9 bill. The growth areas, mobile communications, data communications and the Internet, were in a position to more than compensate for the decline in fixed line services, which was due to competition. The basic transformation of the fixed line business led to considerable investment in restructuring measures during the year under review, which primarily contributed to the decrease in EBITDA to EUR 1,016.5 mill. Total managed operating results fell from EUR 493.7 mill. to EUR -31.5 mill.

The reduction of capital expenditure and the focus on broadband technology form part of the transformation process. This development is reflected in the decline in additions to property, plant and equipment by 6.7% to a value of EUR 917.7 mill.

The number of employees of the Telekom Austria Group dropped from 18,650 to 18,560. For the fixed line operations alone, the number of employees decreased by about 5% to 14,982, which was mainly due to further early retirement programs.

Key data (financial figures in EUR mill.)	**Fixed line**		**Mobile communications**		**Data communications**		**Other segments**		**Eliminations**		**Telekom Austria Group**	
	2000	**1999**	**2000**	**1999**	**2000**	**1999**	**2000**	**1999**	**2000**	**1999**	**2000**	**1999**
Operating revenues	2,676.9	2,842.2	1,500.1	1,242.4	309.0	279.6	51.9	23.1	-632.6	-611.4	3,905.3	3,775.9
EBITDA	519.5	1,077.1	437.9	355.3	59.5	43.6	-0.6	2.1	0.2	-0.2	1,016.5	1,477.9
Operating income/loss	-295.4	250.3	261.1	225.8	22.8	16.0	-2.5	-2.8	-17.6	4.4	-31.5	493.7
Additions to property, plant and equipment	558.5	646.5	323.1	287.4	34.2	48.3	1.9	1.0	0.0	0.0	917.7	983.2
Employees*	14,982	15,722	2,520	2,054	956	847	102	27	0.0	0.0	18.560	18.650

* full-time employees (average for the year)

The table shows the total managed figures for the entire Telekom Austria Group, including those of Mobilkom Austria. Although Mobilkom Austria is owned 75%, minus 1 share, by Telekom Austria, the company is not fully consolidated according to US GAAP. The reason for this is the right of co-decision that was granted by agreement to the Mobilkom Austria minority owner, which is a subsidiary of Telecom Italia Mobile SpA. The offsetting items between the segments are eliminated in the column Eliminations.

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Fixed Line Services

The fixed line segment primarily comprises all operations of Telekom Austria AG. In addition to fixed line telephony in the strict sense, this segment also includes the areas of Internet, carrier services and leased lines. The operating revenues of the fixed line business amounted to EUR 2,676.9 mill. in 2000 compared with EUR 2,842.2 mill. in the previous year. This decline of 5.8% is mainly due to the increasing competition as well as to tariff reductions. The EBITDA of the fixed line segment decreased to EUR 519.5 mill. This can be explained primarily by the lower revenues and, especially, the expenses for restructuring the staff resources of this segment. After considering depreciation, the operating results decreased to EUR -295.4 mill.

Key data (financial data in EUR mill.)	**2000**	**1999**	**change in %**
Operating revenues	2,676.9	2,842.2	-5.8
EBITDA	519.5	1,077.1	-51.8
Operating income/loss	-295.4	250.3	-
Additions to property, plant and equipment	558.5	646.5	-13.6
Employees*	14,982	15,722	-4.7

* full-time employees (average for the year)

The turnover from initial connection and installation fees, monthly rental and other network services rose by 10.4% due to higher monthly rental tariffs. At the same time fixed line traffic revenues decreased by 34.2% to EUR 809.4 mill. About two thirds of this decrease are due to lower tariffs and to a higher share of cheaper online minutes.

This negative change in the market was offset to some extent by obtaining higher revenues from interconnection. These rose by 51.3% to EUR 618.8 mill. The largest increase by far comes from an increase in the volume of traffic in transit via the network of Telekom Austria into mobile and international networks.

Although the prices for leased lines decreased by about 20% during the year under review, revenues in this segment rose by 4.7% to EUR 227.7 mill. due to the greater demand. Revenues from the sale of terminal equipment decreased to EUR 105.7 mill. during the fiscal year 2000, which is mainly due to growing competition in the telecommunications equipment market.

Operating revenues (in EUR mill.)	**2000**	**1999**	**change in %**
Initial connection and installation fees monthly rental and other network services	655.4	593.7	10.4
Traffic revenues	809.4	1,231.4	-34.2
Interconnection	618.8	409.1	51.3
Leased lines	227.7	217.5	4.7
Equipment	105.7	131.2	-19.4
Other	260.0	259.3	0.3
Total fixed line operating revenues	**2,676.9**	**2,842.2**	**-5.8**

Restructuring triggered higher expenses

The decrease in material expenses is the result of reduced material demand for ISDN expansion, compared with the previous year. The higher cost of staff is mainly due to higher restructuring expenses, namely EUR 253 mill. in 2000, compared with EUR 85,5 mill. in 1999. The increase in expenses for interconnection by 24.1% to EUR 654.3 mill. is primarily the result of higher volume of traffic between mobile communications networks that was routed via the fixed network of Telekom Austria. The amount for other expenses rose, among other things, due to higher marketing and advertising costs as well as commission payments to the Internet subsidiary Jet2Web Internet.

Operating expenses (in EUR mill.)	2000	1999	change in %
Materials	88.0	118.0	-25.4
Employee costs, including benefits and taxes	810.2	613.2	32.1
Depreciation and amortization	857.7	837.4	2.4
Interconnection	654.3	527.3	24.1
Repairs	126.0	104.7	20.4
Services received	41.6	33.0	26.1
Other operating expenses	394.6	358.3	10.1
Total fixed line operating expenses	**2,972.3**	**2,591.9**	**14.7**

Additions to property, plant and equipment

The decrease in additions to property, plant and equipment in the fixed line business is a central component of the transformation program of Telekom Austria. We were able to clearly reach this objective with a decline by 13.6%, to EUR 558.5 mill., in 2000. The parallel focus on broadband technologies is impressively reflected in their share in investments, which rose from 18% to 42%.

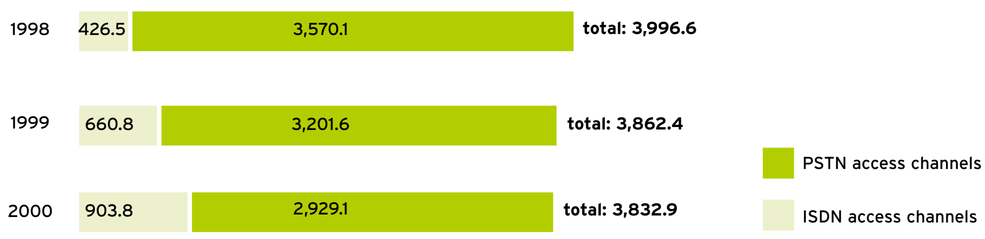
Market development

Austria is one of the most competitive telecommunications markets in Europe. Since the liberalization of the market, 70 licences for fixed networks and 67 licences for the provision of leased lines were issued. Some of the biggest competitors have big international telecommunications companies as majority owners, which already have a dominating market position in their home markets. These features of the market are the main reason for the decline in the market share based on minutes (including Internet dial-up) from about 85% (average for the year 1999) to 63% at year-end 2000.

Development of ADSL lines

At year-end 2000 Telekom Austria was servicing about 3.3 mill. fixed lines. Traditional telephone lines (PSTN) recorded a decrease of 8.5%. However, the number of ISDN lines (Integrated Services Digital Network) grew by about 34% to 340,000. The number of access channels fell by 0.8%

Number of access channels (in 1,000)



The leading position of Telekom Austria in broadband communications is impressively illustrated by the development of ADSL lines (Asymmetric Digital Subscriber Lines, high-speed transmission via the fixed network). Nearly 14 months after launching the ADSL service, about 38,500 ADSL lines with a transmission rate of 512/64 Kbit/s (downstream/upstream) had been installed at the end of the fiscal year 2000. The above figure includes the ADSL accounts of other Internet Service Providers. This places Austria into a leading position in Europe in terms of DSL technologies.

Fixed lines – access channels (in 1,000)	**2000**	**1999**	**1998**
PSTN access lines	2,929.1	3,201.6	3,570.1
Basic ISDN access lines	331.9	247.0	152.2
Multiple ISDN access lines	8.0	5.6	4.1
Total acess lines	**3,269.0**	**3,454.2**	**3,726.4**
of these ADSL access lines	38.5	0.9	-
Access channels	**3,832.9**	**3,862.4**	**3,996.6**

Telekom Austria's total national fixed line traffic, based on minutes, rose by 8.3% compared with the previous year. This is due to the growing volume of Internet traffic. The decline in voice minutes in local and national traffic is a reflection of the growing competition in this area. Other traffic volume comprises minutes from a flat rate Internet product which was offered at the beginning of the year.

During the fiscal year 2000 the customers of Telekom Austria generated 507 mill. minutes of outgoing international traffic, compared with 682 mill. minutes during the previous year. This decline of 25.7% can be explained by the greater competition from alternative system operators.

National fixed line traffic of Telekom Austria (in mill. minutes)	2000	1999	1998
Local traffic (including directory assistance)	6,227	8,426	9,498
National long-distance traffic	1,008	1,387	1,651
Fixed-to-mobile traffic	941	991	792
Internet dial-up traffic	3,872	2,991	1,403
Other traffic (including value-added services and emergency calls)	3,157	248	114
Total national fixed line traffic	**15,205**	**14,043**	**13,459**

Marketing, new products and tariffs

Efficient product development and shorter time-to-market cycles

In the course of creating a new positioning for Telekom Austria, marketing and sales activities, in particular, were reorganized on a broad basis and adapted to the challenges of the rapidly changing market environment through the adoption of lean, customer-friendly structures. In the years to come, the focus will shift to IP-based services and applications, which will reduce PSTN voice telephony, which is currently the main field of business. During the fiscal year 2000 we were able to implement more efficient product developments and shorter time-to-market cycles.

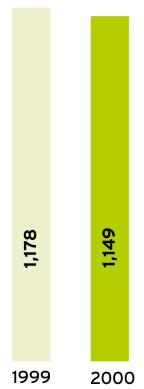
An example of a new product that expands the benefits of pure voice telephony in the direction of a comprehensive call management service is My Phone Service, with new additional services, such as three-way conversations, automatic call back and broker's calling as well as an integrated message box for voice and fax messages. The products Phone Club and Bonus Talk offer tailor-made solutions, which have contributed to winning attractive customer target groups and enhancing customer loyalty. Since December 2000 Telekom Austria has also been offering a Jet2Web calling card. With this prepaid phone card, cash free telephone calls can be made in Austria and from about forty countries worldwide to Austria.

Enormous efforts on the part of Telekom Austria were devoted to sales activities. In addition to attending to the customer segments Key Account Management (KAM), Small Medium Enterprises (SME) and Residential Customers, Telekom Austria is stepping up its focus on optimized Customer Relationship Management (CRM) and efficient customer care. With regard to Key Account Management, about 188 top customers are given individual attention, in cooperation with Datakom Austria, Mobilkom Austria and Jet2Web Internet, based on the one-stop shop principle. The Call Center with about 1,600 lines and 1,200 especially trained employees is extremely well prepared to swiftly handle a wide range of customer requests. Up to 150,000 telephone calls can be handled every day.

At year-end 2000 Telekom Austria had a distribution network that comprises about 60 Telekom shops as well as two Jet2Web stores. In addition, there are sales agreements with about 2,300 post offices and individual sales channels for retailing and partner marketing. In December 2000 a new sales portal was launched by opening an online shop (shop.telekom.at).

Incoming international traffic (in mill. minutes)

Outgoing international traffic (in mill. minutes)



A range of measures was taken regarding tariffs in order to increase competitiveness:

- March 2000: Tariffs for connections to Mobilkom Austria networks were decreased by 28% (peak rate) and by 20% (off-peak), for connections to the mobile communications network of One by 14.1% and 10.1%, and in May for connections to max.mobil by 4% (peak rate).

- May 2000: Reduction of the prices for national leased lines by up to 54%.

- July 2000: Tariffs for national long-distance calls were reduced by more than 50%. In addition, Telekom Austria introduced the most attractive Internet access rate, namely 27 or 14 groschen per minute (peak/off-peak) for the business tariff 3.

- Summer 2000: Tariffs were reduced by up to 60% for calls to Asia, South America, Oceania, Africa and the Middle East.

- September 2000: Tariffs were introduced for the directory service.

- December 2000: A winter tariff was launched as a special promotional measure. This campaign facilitates calls starting at 8 groschen per minute between 20.00 and 6.00 hours until the end of February.

On 15 November 2000 Telekom Austria applied to the Telekom Control Commission for the introduction of tariffs that will facilitate invoicing on the basis of seconds, as of the 30th second of a telephone call. This will also result in a major reduction of rates for customers. The approval was granted at the end of January 2001 and the system was introduced on 1 March 2001.

Carrier services

The area of carrier services produced revenues from the interconnection services for other telecommunications suppliers. At the end of 2000, Telekom Austria had 43 agreements with fixed and mobile network operators, as well as paging services holding licences for Austria. The currently valid interconnection fees are below the costs that Telekom Austria actually incurs in the area of network interconnection operations. The supervisory authority fixes these fees for Telekom Austria. In 2000 the largest part of the outgoing traffic in the international carrier service was with Germany, Switzerland and Italy. In November 2000 Telekom Austria set up a separate subsidiary, Jet2Web Network Services GmbH, which – in future – will provide network services to the other network operators, including fixed and mobile network operators and Internet service providers.

Regulations

During the fiscal year 2000 carrier pre-selection was introduced, in addition to call-by-call. As a result, telephone customers are able to handle all telephone calls on a permanent basis via a pre-selected network operator.

In the spring, the supervisory authority took a decision on the portability of geographical and service numbers. This means that customers are able to keep their existing telephone numbers when changing to another network operator.

▸2000 ▸2001 ▸2002 ▸2003

Since April 1999 Telekom Austria has entered into agreements with competitors on an ongoing basis about access to local loop. In May 2000 the supervisory authority decided that Internet service providers should be able to demand the same conditions as fixed network operators for access to the 'last mile'. As of the end of 2000, Telekom Austria had unbundling agreements with 17 competitors, on the basis of which approximately 1,000 subscriber lines were unbundled. In December 2000 the supervisory authority took a decision regarding Internet access. As a result, end consumers will be given access to Internet service providers via a special free-phone-number. The Internet service provider supplies the Internet application, but can also charge customers for their access to voice telephony. Since this decision has a negative impact on voice telephony, Telekom Austria has filed a complaint with the Administrative Court. Further major regulatory decisions during the year under review concerned, among other things, the auction of the UMTS licences (see chapter on mobile communications) and WLL frequencies as well as Telekom Austria tariffs.

Change in regulatory policy required

Against the background of an already existing intensive competition and the consequently achieved level of liberalization, the Management Board of Telekom Austria thinks that it is necessary to have a change in policy. The reason for this is that to date regulatory efforts were devoted to creating competition, whereas the new policy should aim at maintaining competition. The fair treatment of Telekom Austria, in comparison to the big European operators on the Austrian market, should be at the center of such a policy. The necessary regulatory framework conditions must be created in line with European activities. A first step would be to change from an ex-ante to an ex-post regulation regarding end customer tariffs in order to enable all market players to have the necessary scope of decisions that allows flexibility in competition.

Technologies, network expansion and investments

During the fiscal year 2000 the technical management board strongly geared the expansion policy to suit the changed ethos of Telekom Austria. The restructing process comprises a process-oriented organization and the concentration on locations and tasks. This approach created the prerequisites for effectively meeting the demand for innovative products and services. In keeping with the strategic goal – multimedia on an All-IP basis – traditional switching technologies were down-sized in volume during the fiscal year 2000. The network capacities were expanded massively for broadband data communications. The measures in the field of network development mark successful stages on the way to an IP-supported Next Generation Network.

During the fiscal year 2000 Telekom Austria was able to expand ADSL availability, as a connecting technology for fast Internet activities, to 432 switching centers throughout Austria. As a result, an average ADSL area coverage of 75% was obtained.

An important project in the fiscal year 2000 was Jet Stream. In only four months, a completely new national backbone on DWDM basis (Dense Wavelength Division Multiplexing) was set up for this network for the future. It has a transmission capacity of 320 Gbit/s. The capacity of 32.5 Gbit/s available today in the DWDM ring corresponds to 430,000 simultaneous telephone calls and facilitates high-quality web TV, as well as Video on Demand and live conferences. It can be expanded to 320 Gbit/s.

▸2000 ▸2001 ▸2002 ▸2003

Transformation program

The fixed network system is at the center of the transformation program for Telekom Austria. The priority goals are to increase profitability, while at the same time strengthening the market position and utilizing the market growth in the best possible manner by concentrating on know-how bundling. It is planned to reach the turn-around point by the end of 2002 by way of staff and operating cost optimizations and by focusing on capital expenditures for broadband technologies.

The transformation process was set in motion by a fundamental change in corporate culture. Customer orientation is becoming the strategic focal point. By setting up TAP (Telekom Austria Personalmanagement GmbH) in October 2000, the necessary staff restructuring process was initiated. By 2005 the staff level will be reduced by 5,000 by means of a far-reaching action plan.

Outlook

Transformation into a comprehensive full-service telecommunications provider

The fiscal year 2001 will be characterized by the transformation of this business segment. The primary goals are to minimize loss of market share as well as to achieve a substantial increase in the operating results by means of large cost reductions. A broad-based reduction of staff will therefore be unavoidable. By means of early retirement, outsourcing, leasing and severance payment models the staff level is to be reduced by up to 3,000 employees in 2001, which will bring it to a level that corresponds to market requirements.

The Telekom Austria management is expecting a further increase in competition. In connection with this, the introduction of second-based tariffs, for business and residential customers as of 1 March 2001 is an essential step. 2001 will be a milestone in the transformation into a comprehensive full-service telecommunications provider.

Mobile Communications

The mobile communications segment comprises all operations of Mobilkom Austria AG and its affiliates, namely VIP-Net (Croatia), mobilkom [liechtenstein] AG and – since February 2001 – SI.MOBIL (Slovenia). Mobilkom Austria is owned 75%, minus 1 share, by Telekom Austria, while Telecom Italia Mobile holds 25%, plus 1 share.

Key data (financial data in EUR mill.)	2000	1999	change in %
Operating revenues	1,500.1	1,242.4	20.7
EBITDA	437.9	355.3	23.2
Operating income	261.1	225.8	15.6
Additions to property, plant and equipment	323.1	287.4	12.4
Employees *	2,520	2,054	22.7

* full-time employees (average for the year)

Growth in revenues in Croatia and Austria

During the year under review the operating revenues of the segment mobile communications increased by 20.7% to EUR 1.5 billion. This increase was mainly due to the high growth in customer numbers and the strong rise in roaming revenues. In Croatia VIP-Net achieved revenues in the amount of EUR 148.9 mill. in the fiscal year 2000, compared with EUR 31.7 mill. for 1999.

The EBITDA of the business segment increased by 23.2% to EUR 437.9 mill., while the operating income rose by 15.6% to EUR 261.1 mill.

Operating revenues (in EUR mill.)	2000	1999	change in %
Traffic revenues	721.3	536.5	34.4
Monthly rentals	245.8	213.7	15.0
Equipment	187.5	183.4	2.2
Roaming	113.7	72.3	57.3
Interconnection	234.7	211.9	10.8
Other	20.3	29.4	30.9
Discounts	-23.2	-4.8	383.3
Total mobile communications operating revenues	**1,500.1**	**1,242.4**	**20.7**

The rise in traffic revenues of 34.4% to EUR 721.3 mill. is primarily the consequence of the increase in subscribers in Austria and Croatia. This was partly offset by the effect of tariff reductions dating back to 1999. The growth of contract customers facilitated an increase in revenues from monthly rentals by 15% to EUR 245.8 mill. Roaming revenues rose by EUR 41.4 mill. due to the growing call volume of international mobile phone users in Austria and Croatia. The increase in interconnection revenues is almost exclusively due to the growth generated by VIP-Net. Discounts comprise payments of retailer commissions and a provision for customer loyalty programs.

▸2000 ▸2001 ▸2002 ▸2003

Operating expenses (in EUR mill.)	2000	1999	change in %
Materials	302.9	271.3	11.6
Employee costs, including benefits and taxes	98.1	74.3	32.0
Depreciation and amortization	174.4	120.8	44.4
Interconnection	148.4	103.4	43.5
Repairs	27.6	20.6	34.0
Services received	181.6	146.2	24.2
Other operating expenses	305.8	280.0	9.2
Total mobile communications operating expenses	**1,238.9**	**1,016.6**	**21.9**

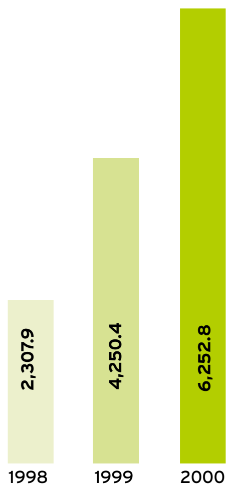
The increase in material expenses is due to the subsidized sale and replacement of mobile phones by Mobilkom Austria and VIP-Net, which was driven by customer growth. The 44% increase in depreciation is solely the result of network-related capital expenditures due to larger customer volumes. Two thirds of the increase in interconnection expenses comes from Mobilkom Austria, while one third comes from VIP-Net.

Additions to property, plant and equipment

The increase in additions to property, plant and equipment must be seen against the background of capacity-oriented network expansion. The number of base stations rose by 24% to 4,120 stations, which is in line with subscriber growth in Austria.

The expenditures for acquiring the UMTS licences in November 2000 amounting to EUR 171.5 mill. are included in the intangible fixed assets.

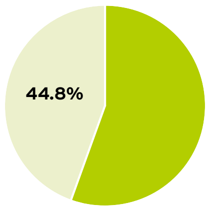
Total market for mobile communications in Austria (customers in 1,000)



Market development

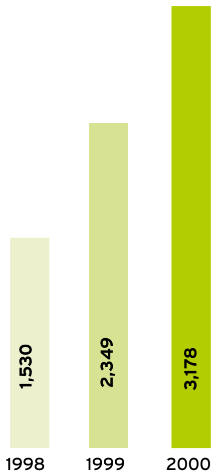
The fiscal year 2000 saw the appearance of a fourth network operator in Austria. As a result, Austria has become one of the countries in Europe with the most intensive competition, measured against its population. The penetration rate rose from 52.3% in early January 2000 to 76.7% as of 31 December 2000. Austria thus ranks third in Europe behind Norway and Iceland.

Mobile communications customers (in 1,000)	2000	1999	1998
Contract customers	**1,336.6**	**1,218.4**	**955.5**
Digital	1,289.2	1,112.0	755.2
Analog	47.4	106.4	200.3
Prepaid customers	**1,467.7**	**1,041.4**	**525.4**
Digital	1,351.6	942.0	525.4
Analog	116.1	99.4	-
Total for Mobilkom Austria customers	**2,804.3**	**2,259.8**	**1,480.9**
VIP-Net (Croatia)	**531.4**	**155.1**	**-**
Total for mobile communications	**3,335.7**	**2,414.9**	**1,480.9**



Market share of Mobilkom Austria (in %)

Traffic (in mill. minutes)



At the end of 2000, Mobilkom Austria had a market share of 44.8% and was thus once again able to clearly maintain its market leadership during this business year. In the business customer segment, which is particularly important due to its revenues volume, Mobilkom Austria had a market share of more than 70% at the end of 2000.

The dynamic growth in customer numbers of almost 40% to 3.3 mill. resulted mainly from the development of the prepaid market segment in Austria and Croatia.

In Austria, Mobilkom Austria increased its customer base by more than 540,000 subscribers during the fiscal year 2000. In line with international trends, the prepaid segment (+41%) contributed to a great extent to this customer growth. However, at the end of 2000, the percentage of Mobilkom Austria's contract customers (more than 47%) was excellent, compared with other European operators.

Through targeted measures, we succeeded in keeping customer fluctuation below 23% during the fiscal year 2000. As a result, Mobilkom Austria ranks well in the mid-field among mobile phone operators within the European Union.

Key data on traffic	2000	1999	1998
Traffic (in mill. minutes)	3,178	2,349	1,530
Average number of customers (in 1,000)	2,544	1,870	1,210
Minutes per customer and month	104	105	105

Customer traffic in minutes comprises active telephone calls in Austria and abroad as well as passive calls received outside of Austria (excluding visitor roaming).

New services and products

During the fiscal year 2000, the portfolio of products for residential and business customers was expanded considerably: Entertainment services via SMS (A1 Gameworld), expansion of the information service via SMS and WAP (InfoChannel, CityGuide, etc.), location-based services (MobilGuide), a combined fixed line/mobile communications telephony product (A1 Total) and a network-independent MultiChannel-MultiPlayer business simulation for SMS, Web and WAP.

In addition, Mobilkom Austria launched another convergent product with A1 MultiRing. With MultiRing customers can be reached at up to three (fixed or mobile) terminal devices connected to one number. Moreover, further activities were initiated in the business customer segment (expansion of the VPN solution A1 Network, A1 MobileOffice).

In the telematics field, the product A1 MatikBox provides machine-to-machine solutions (e.g. activating auxiliary heating systems in cars via the SIM card).

M-commerce is another area were Mobilkom Austria succeeded in maintaining its leading market position and in offering new services. After introducing the ÖBB-e ticket in 1999, the Cin-e ticket and FlowerLine were launched in early 2000. With these services, customers can order and pay for train tickets, movie-theater tickets or flowers, directly via their mobile phones.

Mobile data services

In December 2000 alone, about 36.6 mill. SMS messages (Short Message Service) were sent. For the target group "young people" a record of 46 SMS messages per subscriber was achieved during that month. In addition to SMS, Mobilkom Austria offers A1 WAP services which are extremely well received by customers. The data penetration rate among Mobilkom Austria customers amounted to 3% at the end of the fiscal year 2000, while the UK and Germany only reached 1 to 2%.

During the fiscal year 2000 the number of WAP-capable mobile phones among Mobilkom Austria customers rose to 160,000 units. With the so-called Wireless Application Protocol (WAP) it is possible to show Internet content on the mobile phone display.

With A1 MobilGuide, Mobilkom Austria offers a location-based service that automatically determines the current location and then retrieves information from the immediate vicinity. Mobilkom Austria has underscored its leadership role on the Austrian market, having previously succeeded in launching both WAP and GPRS services long before its competitors.

New technologies, new standards - GPRS and UMTS

Important innovations for mobile communications

In August 2000, Mobilkom Austria started as one of the first providers the roll-out of a nationwide, commercial GPRS (General Packet Radio Service) network. The GPRS technology facilitates a transmission speed of up to 80 Kbit/s. The currently available terminal equipment does not yet support this transmission speed. This highly efficient method of transmission and the possibility to stay "always on", will substantially improve the benefits to customers.

Mobilkom Austria also plays a leading role in connection with the introduction of UMTS (Universal Mobile Telecommunications System), the next mobile communications generation. In June 2000 the company made its first UMTS test call in Austria. On 3 November 2000 Mobilkom Austrian obtained two frequency packages each in the paired and the unpaired area at the UMTS auction for a total of EUR 171.5 mill. This puts the licence fee per customer in Austria far below the European average. Mobilkom Austria paid an average price of EUR 60.5, while network operators abroad had to invest up to EUR 836.7. UMTS makes it possible for operators to transmit at data rates that are far above those of the present mobile systems. Mobilkom Austria expects the commercial launch of its UMTS network to be in the course of the year 2002.

This will require a new network technology and the introduction of service platforms. Mobilkom Austria has stated that its goal is to become the leading 3G broadband network operator for mobile voice, data and multimedia applications.

Mobile Internet communications

In September 2000, A1.net, which is the first universal service portal in Austria, was launched. Its services can be used via the Internet, WAP as well as SMS. 13 mill. page impressions per month put this medium to rank number 7 among the most-visited sites in Austria. Through the Internet access provided also by Mobilkom Austria, further 24,000 Internet customers could be won in addition to the current 25,000 PocketNet customers. Shortly before the end of the year, an agreement with Jet2Web Internet was reached to facilitate the use of shared operating resources between the two companies.

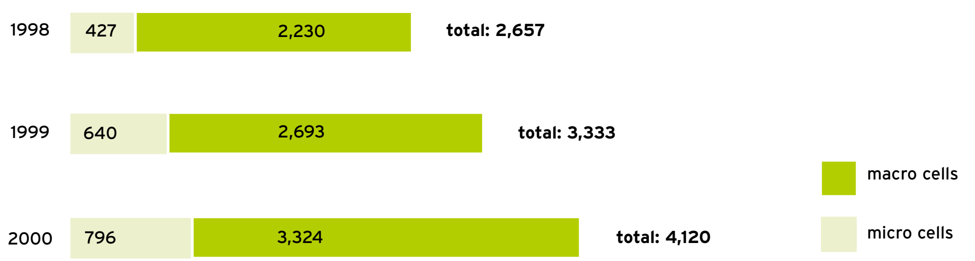
Customer service center

Customers are at the center of the service-oriented corporate strategy of Mobilkom Austria. Approximately 300 call-center agents provide information and assistance to individual callers 24 hours a day. The call center was supplemented by client24 in November 2000. This is a comprehensive service center for around-the-clock professional customer care. It also offers business solutions – such as call-center services, WAP and SMS services or consulting services – to other companies.

Network quality attracts customers

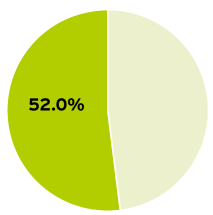
Rising customer figures are a clear confirmation of future-oriented network planning and high network quality. During the fiscal year 2000, Mobilkom Austria invested EUR 150 mill. (incl. GPRS) into network expansion. 98% of the Austrian population are able to make telephone calls in the GSM network of Mobilkom Austria. It was important to obtain additional nation-wide 2 x 5 MHz frequency packages in the 1,800 MHz band in September 2000 in order to assure high network quality standards.

Base stations of Mobilkom Austria (in 1,000)



Roaming

At the end of the fiscal year 2000, Mobilkom Austria had roaming agreements with 177 network operators in 89 countries. This enables A1 and registered B-Free customers to use the respective foreign networks for their telephone calls. On the other hand, it yields roaming revenues for Mobilkom Austria, whenever the subscribers of other operators use the A1 network.



VIP-Net market share (in %)

VIP-Net

Since October 2000, Mobilkom Austria has owned a 61% share of VIP-Net, its Croatian subsidiary. VIP-Net began its operating activities on 1 July 1999 and succeeded in becoming the GSM market leader in Croatia within six months. Due to a penetration rate of 24% , which is extremely low compared to European standards, the Croatian market has an enormous growth potential. On 31 December 2000 VIP-Net was able to reach a market share of about 52% with more than 531,000 subscribers (growth in subscribers in 2000: approximately 375,000). A large part of this rapid increase in customer volumes during the year under review was due to prepaid products.

Since November 2000, VIP-Net has been providing a fixed line Internet access (VIPonline) that allows a connection to mobile access services. After the build-up phase has been completed, VIP-Net is now well on its way to becoming one of the top providers in Croatia with this product, thanks to target-specific partner networking, an improved service and a distribution offensive.

2000 2001 2002 2003

mobilkom [liechtenstein] AG

At the beginning of the year, 2000 mobilkom [liechtenstein] AG was founded; it is a 100% owned subsidiary of Mobilkom Austria. On 13 September 2000, mobilkom [liechtenstein] AG became operational. mobilkom [liechtenstein] AG is the first operator in Liechtenstein to offer GPRS services.

Outlook

On 27 February 2001 Mobilkom Austria obtained 49% of SI.MOBIL, the Slovenian mobile communications provider. Another 26%, plus 1 share, were taken over by Teleimpuls, a Slovenian company, where Mobilkom Austria holds a share of 49%. The acquisition value for 75% of total shares was EUR 141 mill. It is planned to transfer the remaining 25%, minus 1 share, which are still with the Slovenian owners, to Mobilkom Austria by 2002. By the end of the year 2001 the number of customers are estimated to increase from 130,000, registered at the end of 2000, to 250,000 .

In March 2001 the decision was taken to change the legal structure of Mobilkom Austria, turning the stock corporation into a limited-liability partnership (Mobilkom Austria AG & Co KG.). The goal of this step is to increase liquidity and to obtain flexibility in business processes, as well as to achieve fiscal optimization.

Business areas with a future and an expanded value-added chain

As a result of the already high penetration rate in the area of mobile communications, the market situation in Austria will be characterized by a slowed subscriber growth in the mobile communications voice business in the current year 2001. This will further increase competition, especially on an international level, in the fast growing areas of data communications and mobile Internet access. Mobilkom Austria aims to counteract this situation and will position itself as a leading add-on solution provider and content and service aggregator, as well as open up new revenue flows by utilizing all technologies.

The growing penetration of mobile communications in Croatia will be a solid basis for a continuing dynamic customer growth at VIP-Net.

Data Communications

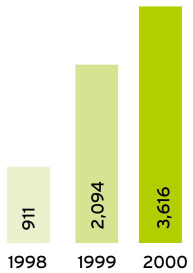
The data communications segment comprises the activities of Datakom Austria, which is a 100% owned subsidiary of Telekom Austria AG. Sales in this segment rose by 10.5% to EUR 309 mill. during the fiscal year 2000. This increase is almost exlusively due to higher revenues from corporate networks and to a lesser extent to more value-added data services. These increases have more than compensated the strong price competition for data services in Austria. Due to a rise in expenditures by 8.6%, the operating income rose by 42.5% and EBITDA by 36.5%.

Key data (financial data in EUR mill.)	2000	1999	change in %
Sales	309.0	279.6	10.5
EBITDA	59.5	43.6	36.5
Operating Income	22.8	16.0	42.5
Additions to property, plant and equipment	34.2	48.3	-29.2
Employees*	956	847	12.9

* full-time employees (average for the year)

The increase in employee costs is due to a rise in the number of non-civil servant employees and restructuring measures. A large part of the "services received" item reflects services provided by Telekom Austria AG that were eliminated in the course of consolidation. In spite of the considerably higher volume, a price reduction of 20% meant an increase of only 0.9%.

Frame-relay services ports

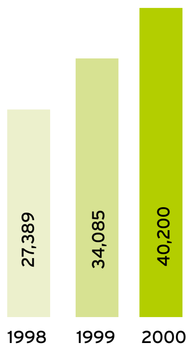


Operating expenses (in EUR mill.)	2000	1999	change in %
Materials	15.5	16.2	-4.3
Employee costs, including benefits and taxes	52.0	43.2	20.4
Depreciation and amortization	32.5	26.2	24.0
Services received	148.1	146.8	0.9
Other operating expenses	38.1	31.2	22.1
Total data communications operating expenses	**286.2**	**263.6**	**8.6**

Additions to property, plant and equipment

The expansion of the Datastream network, technical equipment for corporate networks as well as an upgrade of the Dataswitch services were the main investment priorities. The capital expenditures amounted to a total of EUR 34.2 mill.

Packet-switched services ports



Market development

The number of national leased lines of Datakom Austria rose by about 30% to more than 100,100 during the fiscal year 2000. However, this does not completely reflect the trend towards more demand for higher bandwidths. The total transmission capacity, measured in 64-Kbit equivalents, has risen by 72% by December 2000, as compared to December 1998.

Packet-switched data services constitute a major but declining share in the sales segment called switched data services. Frame relay and ATM (Asynchronous Transfer Mode) services, however, are gaining importance. This is due to a considerable increase in Internet and corporate network traffic volumes and also to the increase in applications that rely on the speed and flexibility of these technologies.

2000 2001 2002 2003

With approximately 90% of the Austrian TOP 100 and approximately 80% of the TOP 500 companies as its customers, Datakom Austria was able to strengthen its market leadership during the fiscal year 2000 in the central areas of corporate networks, data and value-added data services. The range of available products was further expanded by developing industry-specific network, ASP enabling, e-commerce and security solutions. The competence as corporate network provider constitutes the basis for a new positioning of Datakom Austria within the Telekom Austria Group as a solution provider and system integrator. In this new role, Datakom Austria can provide individual solutions that cover the entire range of services for the single business segments.

New positioning as solution provider and system integrator

Products and services

Datakom Austria's range of products comprises a wide spectrum of services, from installing the network infrastructure, to providing network management and security, as well as database and information services, e-commerce and EDI. In addition, Datakom Austria has become a specialist in certain market segments, such as the health and legal sectors. Below, there are some examples of new or further developments of products during the fiscal year 2000:

- DaMe, a data network for medical applications, is currently the most comprehensive, secured information and communications platform for physicians. It is used not only for exchanging medical findings, but also for industry-specific content processing.
- Electronic Legal Communications facilitates the forwarding of motions and submissions to Austrian courts, as well as the service of court decisions and summons.
- a-sign, a digital signature of Datakom Austria, offers the unambiguous identification of participants in transactions via the Internet, in full compliance with the Austrian Electronic Signature Act.
- b-secure enables companies to manage their security strategy from a central location for all sites via one single server.
- Voice over IP (telephone calls via Internet Protocol) allows companies to use existing data networks for telephone calls, fax and video transmissions at very reasonable costs.

Below are some other products with potential for the future that have contributed to the success of Datakom Austria during the fiscal year 2000:

- E-Procurement – automates all purchasing procedures in a company.
- EDI-Switch – the structured exchange of data between companies.
- EDI-Zoll and SherpaNet – the EDI solutions for the shipping industry.
- dataweb – the web-based database service for company-register and land-register inquiries.
- Databiz – a modular system on the Internet for e-commerce services.

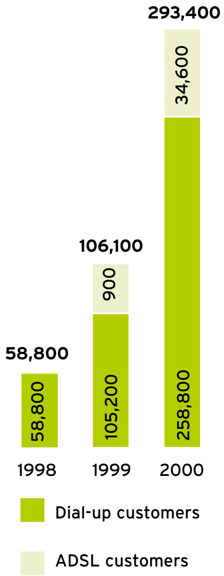
Outlook

The fiscal year 2001 will be characterized decisively by the new positioning of Datakom Austria as a central solution provider and system integrator within the Telekom Austria Group. Since the price pressure in the leased line business will continue during the fiscal year 2001, the expected growth in sales comes mainly from the new segments corporate networks and e-commerce, as well as ASP enabling products.

2000 2001 2002 2003

Other Segments

Number of internet customers in Austria



"Other segments" comprise international data services and other services as well as the revenues from the Internet business, to the extent that they are not contained in a different business segment. As of 1 July 2000, Telekom Austria AG transferred all business activities in the residential customer Internet segment to Jet2Web Internet Services GmbH. For reasons of comparability, the effects resulting from this transfer are not taken into consideration in the accounts for the year 2000. This sector also includes the 100% subsidiary Czech On Line a.s. The dynamic evolution of the Internet business led to increases in sales of 124.7% to EUR 51.9 mill. during the fiscal year 2000. This also entailed higher staff and marketing costs and led to a decrease in EBITDA to EUR -0.6 mill and in the operating loss to EUR -2.5 mill.

Key data (financial data in EUR mill.)	2000	1999	change in %
Operating revenues	51.9	23.1	124.7
EBITDA	-0.6	2.1	-
Operating loss	-2.5	-2.8	10.7
Additions to property, plant and equipment	1.9	1.0	90.0
Employees*	102	27	277.8

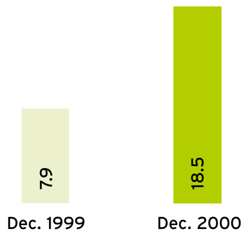
* full-time employees (average for the year)

Market development

With 293,400 residential and business customers, Telekom Austria is Austria's leading Internet service provider. Compared with 1999, this corresponds to an increase of 177%. The figure also includes the ADSL customers of Jet2Web Internet Services GmbH, which rose from 900, in the previous year, to 34,600 in the year under review. Telekom Austria was one of the first operators in Europe to offer this high-speed Internet access.

Telekom Austria succeeded in taking advantage of an increase in Internet penetration in Austria, from 34% at the end of 1999 to 44% at the end of 2000. The market share of Jet2Web Internet among residential Internet customers rose from 22% to 28% during the same period.

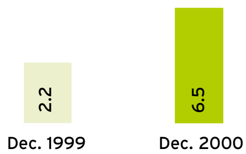
Page impressions www.aon.at (in mill.)



Additions to property, plant and equipment

The additions to property, plant and equipment of "other segments" rose from EUR 1.0 to EUR 1.9 mill. during the fiscal year 2000. The largest part was spent on switching equipment, i.e. IT and network equipment.

Page visits www.aon.at (in mill.)



Products and services

Jet2Web Internet owes its clear market leadership both to a demand-specific product portfolio and to its market appearance, which aims at opening up the full range of the Internet value-added chain. With a familiarity level of 78%, the brand name A-Online with its numerous products contributes essentially to the success of the Internet business of Telekom Austria. With 18.5 mill. page impressions as of December 2000 (following 7.9 mill. at the end of 1999), www.aon.at is one of the leading Internet portals in Austria.

Examples of the successful A-Online products for specific user groups are the Internet access A-Online Speed Alpha via PSTN and A-Online Speed Plus via ISDN. Another achievement was Jet2Web Internet´s launch of the first Austrian ADSL self-installation product before Christmas.

▸2000 ▸2001 ▸2002 ▸2003

In August 2000 greater focus was put on the business customer segment by offering customer-specific comprehensive Business-Internet solutions. Since October 2000, Teleworker enables the use of the full communications infrastructure of a business workplace (Intranet, LAN, Internet- E-Mail) from home. Additional special offers round off the range of products.

Telekom Austria and the Austrian Broadcasting Corporation (ORF) have signed a four-year cooperation agreement in order to jointly open up the potential of the broadband technology in Austria, as well as to develop and distribute the transmission of TV and radio programs of ORF via Jet2Web Internet. The B2B portal (www.abusiness.at), which was implemented together with SAP and Hewlett-Packard, was renewed in order to prepare a virtual marketplace for all relevant branches of industry in a functioning, high-performance web environment.

A leader in the Czech Republic with Czech On Line

Growth accelerated by acquisition

In the course of the fiscal year 2000, Telekom Austria acquired 100% of Czech On Line a.s., the leading Internet service provider in the Czech Republic. The company was founded in 1995 and operates its services with the brand name Video On Line. Czech On Line is the first provider of free Internet access (via PSTN, ISDN and GSM). By the end of the fiscal year 2000, the number of active users, amounting to 188,700, had nearly doubled, as compared to 94,500 at the end of 1999. When voice telephony was liberalized on the Czech market, Czech On Line applied for a fixed line licence, which it obtained in December 2000.

Outlook

During the first quarter 2001, Jet2Web Internet expanded its customer base through the acquisition of 70,000 customers from lion.cc, the Internet subsidiary of Libro AG. In addition, ORF acquired a share of 2.5% in Jet2Web Internet. In parallel to that, broadband cooperation on the basis of content provision by ORF began its test operation.

For Jet2Web Internet, the year 2001 will be marked by the implementation of the new broadband and IP oriented Group strategy. The focus will be on expanding the market leadership by means of ADSL broadband products, developing new broadband services, launching the new Jet2Web portal and introducing new access products for the business segment. Starting from 2001, the Internet segment will be presented as a separate business segment.

Human Resources

New orientation in corporate culture

Change in corporate culture

Giving a new orientation to the corporate culture of Telekom Austria is an essential component of the transformation program. The organization structure has been adapted in order to optimally meet customer needs. The number of levels in the company hierarchy has been reduced and the employees' areas of responsibilities have been expanded in order to render decision-making processes faster and more transparent. During the fiscal year 2000, almost 50% of all management positions at Telekom Austria AG were filled with new managers who do not have civil servant status. With a view to increasing the company's profitability, as well as enhancing the value of the company, an action plan was adopted during the fiscal year 2000 to adjust the number of employees. By 2005, the staff level in the fixed line segment will be reduced by 5,000. The following options are offered to employees who will be made redundant:

- early retirement on the basis of a redundancy program
- severance payment packages
- re-training programs
- outsourcing and use of staff-leasing possibilities

In November 2000, all employees of Telekom Austria AG, with the exception of the members of the Management Board of Telekom Austria AG were transferred to Telekom Austria Personalmanagement GmbH. This is intended to facilitate the decision-making processes for the selection of future staff resources.

MbO, stock options and employee participation program

An important element in implementing the transformation process is the employee participation program. More than two thirds of the staff obtained shares in the company. A share option plan was developed for senior employees of the Telekom Austria Group who do not have civil servant status. In the framework of this plan, some 150 managers acquired shares in the amount of EUR 4.5 mill., on the basis of a preferred allocation. In April 2000, a MbO-program (Management by Objectives) was introduced, whereby the performance of the management is measured against the success criteria applied to the entire company, against individual targets and staff management criteria. The process will be extended to the entire company during the fiscal year 2001, as part of a Performance Management Program. In addition, a new commission system, which will be introduced in 2001, has been prepared for employees in the marketing and sales division.

Basic and further training

Telekom Austria attaches paramount importance to creating and maintaining customer contacts. As a result, a multi-level basic communication and trouble-shooting training was developed. 250 managers of Mobilkom Austria took part in management training programs in the course of the year 2000. Moreover, employees of Datakom Austria also participated in a training program to become CISCO Certified Network Professionals. Jet2Web Internet focused on basic and further training activities in the area of customer care. As the largest trainer on the Austrian telecommunications market, Telekom Austria offered 334 apprentices solid basic training in the course of the year under review to enable them to become communications engineers for EDP and telecommunications.

Staff development according to segments*	**2000**	**1999**	**1998**
Fixed line services	14,982	15,722	16,694
Mobile communications	2,520	2,054	1,247
Data communications	956	847	739
Other segments	102	27	40
Total for Telekom Austria Group	**18,560**	**18,650**	**18,720**

* full-time employees (average for the year)

▸2000 ▸2001 ▸2002 ▸2003

Research and Development

From its position as a market leader, Telekom Austria once again set the pace in the year 2000 for innovation and made sure - through its focus on All IP and multi-media communications - that, in future, the company will continue to have a decisive influence on the development of telecommunications in Austria.

Research projects of universities and industry

National programs as well as programs launched by the European Commission form the framework for the R&D activities of Telekom Austria. In addition, projects are currently being implemented in the framework of a joint research program of leading European network operators (EURESCOM), as well as with the European Space Agency. Telekom Austria is a partner of Research Center Telecommunications in Vienna and supports public-sector efforts to position Austria's telecommunications industry internationally in the relevant R&D context.

Fast-paced innovations stimulate developments in telecommunications

Current research priorities

- Multimedia communications:
  The support for quality of service by means of technologies that are available today or in the near future (IP, ATM, mobile and satellite networks) is a prerequisite for future multimedia services. Telekom Austria is committed to this subject area by engaging in specific research projects (Aquila, COST 264, GCAP) in order to accelerate the use of future, digital video services via broadband network infrastructures.

- Internet telephony and next generation networks:
  In line with the trend to All IP-based (or package-oriented) networks, Telekom Austria is participating in a project, launched by the European Telecommunications Standardization Institute (ETSI), to specify an overall system for Voice over Internet Protocol (VoIP) as well as to deal with the related inter-operability issues in connection with PSTN. In order to be able to test the standards for their applicability, Telekom Austria has set up a test network in Austria that will make it possible to handle several thousand VoIP customers. In the second half of 2000 the VoIP service called Webcall was launched; it is the first commercial application of IP telephony technology.

- Digital signature:
  Safe data transfer is an essential prerequisite for commercial, Internet-supported activities, such as e-commerce and m-commerce. With its digital signature service, a-sign, for B2C applications and their further development, Telekom Austria is making an important contribution in this area. Together with the Technical University of Graz, special projects are being implemented in order to evaluate the security concepts and to determine the requirements for new services.

- Mobile broadband communications – GPRS and UMTS:
  Telekom Austria once more gave proof of its technology leadership by being one of the first operators worldwide to launch a nationwide, commercial GPRS network. The GPRS technology, with its highly efficient transmission mode and the possibility to be ‘always on’, will lead to major innovations in mobile communications. And Telekom Austria will also play a leading role in the introduction of UMTS, the next generation of mobile communications. At the end of June 2000, the company had successfully made the first UMTS test call in Austria.

The Telekom Austria Share

TKA LISTED NYSE

The most far-reaching event during the fiscal year 2000 was certainly the fact that the Telekom Austria shares were admitted for official listing on the Vienna and New York stock exchanges on 21 November 2000.

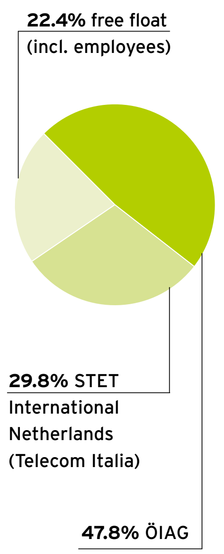
Comprehensive marketing activities preceded the trading on the stock markets. As early as August 2000, Austrian private investors were able to secure advantages in connection with the share allocation via the Telekom Ticket. As of 2 November 2000 ÖIAG-held shares were offered. Following that date, the management gave major presentations of the company to thousands of private investors and held individual meetings with international investors. The Road Shows covered a total of 102 individual meetings in 14 countries, in addition to the presentations in Vienna, Linz and Graz.

The shares were offered by Merrill Lynch International and CA IB Investmentbank AG. Altogether, 27% of the demand came from private and 73% from institutional investors. In terms of geography, 35% of the demand came from Austria and 65% from abroad. Altogether, 112 million shares were allocated at an offering price of EUR 9. This means that currently the free float amounts to 22.4% of the Telekom Austria shares.

With approximately 90,000 shareholders, Telekom Austria is Austria's largest publicly quoted company. The attractive offers to private investors have contributed substantially to this development. When buying up to 1,000 shares in the early booking phase, they received a discount of 5% and, in addition, a bonus share for every 10 shares, which will be allocated to private investors at the end of the general meeting 2002.

The entire issuing phase was characterized by a rapidly deteriorating environment in the industry. The trend reversal in the telecommunications sector, which began in the first quarter 2000, accelerated towards the end of the year. This was due, among other things, to the high expenditures incurred for the UMTS licences in other European countries. In November alone, the industry's index went down by more than 14%, until the IPO of the Telekom Austria shares. Eventually, Telekom Austria shares also succumbed to this trend. However, since its launch the Telekom Austria share performance has certainly been in line with the sector trends. Since the beginning of the year 2001, a very positive performance has been seen, compared with industry average.

Shareholders' structure



Telekom Austria is the first Austrian company to be listed on the New York Stock Exchange. Telekom Austria is listed in New York (NYSE) in the form of American Depositary Rights (ADR). An ADR is a certificate that evidences a certain number of American Depositary Shares (ADS). In the case of Telekom Austria, every ADS evidences the right to obtain two shares. On the basis of the closing price on 31 December 2000 (EUR 6), the market capitalization can be calculated to amount to EUR 3 billion. On 31 December 2000, the weighting in the top segment of the Vienna Stock Exchange, the A Segment, was about 5%. During the final weeks of the year, Telekom Austria was one of the stocks with the largest trading volume on the Vienna Stock Exchange. By year-end 2000, it held a share of more than 30% of the sales in the A Segment. Telekom Austria shares are also contained in the MSCI World and MSCI Europe indices.

Immediately upon its listing, Telekom Austria began to provide its shareholders with comprehensive information services. Shareholders can register themselves in the shareholders' database via http://www.telekom.at/e_ir/mailingliste.html and will then receive information about the current developments of the Telekom Austria Group on an ongoing basis.

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Financial Statements

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Telekom Austria AG
Consolidated Balance Sheet

(in € ´000s omitted, except per share information)

	December 31, 2000	December 31, 1999
ASSETS		
Current assets		
Cash and cash equivalents	17,715	380,102
Short-term investments	5,962	42,305
Accounts receivable, net of allowances of € 72,168 and € 61,423 as at December 31, 2000 and 1999	493,817	613,667
Receivables due from related parties	107,141	110,246
Inventories	74,776	79,689
Deferred tax assets	1,742	21,809
Prepaid expenses	16,531	18,270
Tax refunds	108,503	188,171
Other current assets	165,000	53,076
Total current assets	991,187	1,507,335
Property, plant and equipment, net	5,069,507	5,411,125
Intangible assets at cost	262,438	23,661
Less accumulated amortization	(32,131)	(7,148)
	230,307	16,513
Investments in affiliates	612,962	544,799
Other investments	149,612	133,982
Deferred tax assets	144,233	1,831
Due from related parties	218,018	0
Other assets	720,096	691,508
TOTAL ASSETS	8,135,922	8,307,093
LIABILITIES AND STOCKHOLDERS' EQUITY		
Current liabilities		
Short-term borrowings	945,992	508,862
Accounts payable	524,969	381,224
Accrued liabilities	172,979	133,653
Payables to related parties	103,744	689,362
Deferred income	66,508	67,491
Income taxes payable	12,726	12,556
Deferred income taxes	1,398	12,952
Other current liablities	44,352	29,138
Total current liabilties	1,872,668	1,835,238
Long-term debt, net of current portion	2,353,858	2,319,126
Lease obligations, net of current portion	798,955	757,305
Employee benefit obligations	448,536	248,462
Deferred income taxes	19,329	71,009
Other	38,964	45,880
Stockholders' equity		
Common stock, issued and outstanding shares 500,000,000 with par value of € 2.181	1,090,500	1,090,500
Additional paid-in capital	451,677	452,105
Retained earnings	1,061,462	1,487,575
Accumulated other comprehensive loss	(27)	(107)
Total stockholders' equity	2,603,612	3,030,073
TOTAL LIABILITIES AND STOCKHOLDERS' EQUITY	8,135,922	8,307,093

See accompanying notes to consolidated financial statements

Telekom Austria AG
Consolidated Statements of Operations

(in € ´000s omitted, except per share information)

		2000	1999	1998
Operating revenues	a)	2,814,397	2,948,199	2,830,435
Operating expenses	b)			
Materials		(108,167)	(133,718)	(97,654)
Employee costs, including benefits and taxes		(865,599)	(645,596)	(555,134)
Depreciation and amortization		(915,889)	(864,549)	(814,642)
Other operating expenses		(1,217,377)	(1,036,694)	(758,999)
Operating (loss) income		(292,635)	267,642	604,006
Other non-operating income (expense)				
Interest income	c)	78,552	66,749	40,406
Interest expense	d)	(239,914)	(228,069)	(212,019)
Dividend income		1,405	1,152	663
Other non-operating income (expense), net		(44,662)	(9,528)	(6,284)
(loss) income before income taxes, equity in earnings of affiliates and extraordinary items		(497,254)	97,946	426,772
Income tax (expense) benefit		178,829	(14,489)	(123,375)
Equity in earnings of affiliates		36,314	117,469	136,545
(loss) income before extraordinary items		(282,111)	200,926	439,942
Extraordinary loss, net of tax		(3,453)	(689)	(10,468)
Net (loss) income		(285,564)	200,237	429,474
Basic and fully diluted earnings per share		(0.57)	0.40	0.86
Basic and fully diluted earnings per share excluding extraordinary items		(0.56)	0.40	0.88
a) Includes revenues from related parties of		289,818	262,970	208,274
b) Includes operating expenses from related parties of		309,094	344,864	291,143
c) Includes interest income from related parties of		3,138	1,975	20,059
d) Includes interest expense from related parties of		13,045	31,298	14,862

See accompanying notes to consolidated financial statements

2000 2001 2002 2003

Telekom Austria AG
Consolidated Statements of Cash Flows
(in € ´000s omitted, except per share information)

	2000	1999	1998
Cash generated from operations			
Net income/loss	(285,564)	200,237	429,474
Adjustments to reconcile net income to cash generated from operations			
Depreciation and amortization of property, plant and equipment, goodwill and other intangible assets	915,889	864,549	814,642
Employee benefit obligations - long term	200,073	34,699	(905)
Allowance for doubtful accounts	26,483	40,142	26,984
Change in deferred taxes	(180,726)	6,270	16,654
Equity in earnings of affiliates in excess of dividends received	30,805	(59,325)	(99,482)
Stock purchase plan	7,196	0	0
(Gain)/Loss on sales of investments	(524)	201	(1)
Loss on disposal of equipment	35,161	14,046	13,412
Changes in assets and liabilities, net of effect of business acquired			
Accounts receivable	94,224	(121,158)	(96,628)
Due from related parties	(6,408)	69,462	(144,044)
Inventories	4,920	14,639	561
Prepaid Expenses	2,005	875	543
Other assets	7,808	42,194	104,264
Accounts payable	143,480	111,294	(45,464)
Accrued liabilities	38,723	17,384	16,658
Due to related parties	(33,155)	(31,986)	122,374
Other liabilities	7,283	8,155	38,118
	1,007,673	1,211,678	1,197,160
Cash used in investing activities			
Capital expenditures, including interest capitalized	(601,538)	(697,188)	(764,179)
Acquisitions and investments, net of cash acquired	(334,662)	(45,057)	(5,943)
Proceeds from sale of equiment	16,133	11,503	13,962
Purchase of investments - short term	(176)	(6,513)	(167,023)
Purchase of American Call for Stock Option Programm	(12,527)	0	0
Proceeds from sale of investment - short term	36,336	138,383	3,508
Proceeds from sale of investment - long term	2,719	2,665	2,754
	(893,715)	(596,207)	(916,921)

2000 2001 2002 2003

	2000	1999	1998
Cash from (used in) financing activities			
Principal payments on bonds	(202,030)	0	(119,838)
Proceeds from issuance of long-term debt	377,553	0	0
Principal payments on long-term debt	(138,151)	(248,654)	(278,978)
Change in short-term bank borrowings	387,710	31,016	(10,519)
Changes in financing with ÖIAG	(492,516)	(398,588)	949,861
Changes from financing with Mobilkom Austria Group	(268,520)	(110,135)	153,252
Proceeds from sale of tax benefits	0	44,437	7,337
Dividends paid	(140,549)	(333,201)	(205,342)
Capital contributions by minority shareholders	0	0	534
	(476,503)	(1,015,125)	496,307
Effect of exchange rate changes	158	0	0
Net increase (decrease) in cash and cash equivalents	(362,387)	(399,654)	776,546
Cash and cash equivalents at beginning of period	380,102	779,756	3,210
Cash and cash equivalents at end of period	17,715	380,102	779,756
Cash paid for			
Interest	190,278	200,825	218,599
Income tax	8	80,178	118,997
Cash received for			
Interest	30,882	63,242	19,309
Income tax	0	31,160	0
Non-cash investing and financing			
Cross border leasing	0	607,802	143,598

See accompanying notes to consolidated financial statements

▸2000 ▸2001 ▸2002 ▸2003

Telekom Austria AG
Statement of Changes in Stockholders' Equity

(in € ´000s omitted, except per share information)

	Common stock		Additional paid in capital	Retained earnings	Accumulated other comprehensive income (loss)	Total stockholders' equity
	Number of shares	Par value				
Balance January 1, 1998	500,000,000	1,090,500	452,105	1,396,407	77	2,939,089
Dividends declared				(205,342)		(205,342)
Comprehensive income						
Net income				429,474		429,474
Unrealized gains on securities, net of € 84 deferred income taxes					163	163
Total comprehensive income						429,637
Balance December 31, 1998	500,000,000	1,090,500	452,105	1,620,539	240	3,163,384
Dividends declared				(333,201)		(333,201)
Comprehensive income						
Net income				200,237		200,237
Unrealized losses on securities, net of € (60) deferred income taxes					(117)	(117)
Foreign currency translation adjustment					(230)	(230)
Total comprehensive income						199,890
Balance December 31, 1999	500,000,000	1,090,500	452,105	1,487,575	(107)	3,030,073
Dividends declared				(140,549)		(140,549)
Stock purchase plan			7,924			7,924
Change in Stock Options			(8,352)			(8,352)
Comprehensive loss						
Net loss				(285,564)		(285,564)
Unrealized losses on securities, net of € 62 deferred income taxes					(121)	(121)
Foreign currency translation adjustment					201	201
Total comprehensive income						(285,484)
Balance December 31, 2000	500,000,000	1,090,500	451,677	1,061,462	(27)	2,603,612

See accompanying notes to consolidated financial statements

Notes to Consolidated Financial Statements

(all amounts in € ´000s omitted)

(1) THE COMPANY AND SIGNIFICANT ACCOUNTING POLICIES

Description of business and organization and relationship with the Federal Republic of Austria

Telekom Austria AG and subsidiaries (the Company or Telekom Austria) is engaged as a full service telecommunications provider of long distance, local and wireless services, corporate data communications services as well as Internet services. The Company also provides services through pay phones and supplying telephones and technical equipment for telephone communication. These activities are conducted and operated primarily in Austria.

On May 1, 1996, Post und Telekom Austria Aktiengesellschaft (PTA) was incorporated as successor to Post und Telegraphenverwaltung (PTV). The Poststrukturgesetz (Austrian Post Restructuring Act) provided the basis for the separation of PTA from the Federal Republic of Austria. PTA's operations included postal services, telecommunications, coach line services and other activities.

As of December 31, 1997, the postal services, coach line services and other non-telecommunications-related operations of PTA were transferred to different legal entities. The operations remaining related to the telecommunications business and were named Telekom Austria AG.

In 1998, Telecom Italia SpA, through its subsidiary STET International Netherlands NV, became a strategic investor in the Company by acquiring 25% plus one share in Telekom Austria AG from the Austrian government. As at December 31, 2000 Telecom Italia owns 29.78% of Telekom Austria.

Subsequent to these structural changes and the Initial Public Offering in November 2000, the Federal Republic of Austria, through Österreichische Industrie-Holding AG (ÖIAG), continues to be a significant shareholder owning approximately 47.8% of the voting common stock of the Company. In addition to the transactions described in note (7), the Federal Republic of Austria authorizes and supervises the Österreichische Gesellschaft für Telekommunikationsregulierung mit beschränkter Haftung (Telekom Control GmbH) which regulates certain activities of the Company. The government holds the taxing authority for the Austrian operations of Telekom Austria and imposes taxes such as income and value-added taxes on the Company.

All of the Company's interests in the mobile communications business are held through its holding in Mobilkom Austria AG and its subsidiaries (Mobilkom Austria). The Company owns a 75% minus one share of common stock in Mobilkom Austria. The remaining 25% plus one share of common stock interest is held by STET Mobile Holding NV, a subsidiary of Telecom Italia Mobile SpA, a publicly-traded subsidiary of Telecom Italia SpA. Telekom Austria does not consolidate Mobilkom Austria for financial reporting purposes due to certain substantive participating rights held by the minority shareholder.

In July 2000, Telekom Austria Personalmanagement GmbH (TAP) was formed through a spin-off from Telekom Austria AG. TAP contains all the personnel of Telekom Austria AG and in the future will lease this personnel mainly to Telekom Austria AG but also to companies outside of the Group. In 2000 TAP is still reported in the fixed-network segment but may become a separate segment beginning 2001. Additionally, the Internet business with private customers of Telekom Austria AG was separated as at July 2000 and will form together with Czech On Line the Internet segment beginning in 2001.

Basis of presentation

The consolidated financial statements of Telekom Austria AG have been prepared in accordance with accounting principles generally accepted in the United States of America (U.S. GAAP).

Principles of consolidation

The consolidated financial statements include the accounts of Telekom Austria AG and all material subsidiaries. All significant intercompany transactions and balances have been eliminated in consolidation.

Mobilkom Austria and investments in certain other companies in which the Company has significant influence, but less than a controlling financial interest, are accounted for using the equity method. Under the equity method, only the Company's investments in and net amounts due to and due from the equity investee are included in the consolidated balance sheet, only the Company's share of the investee's earnings is included in the consolidated operating results and only dividends, cash distributions, loans or other cash received or cash paid to the investee are included in the consolidated cash flow.

Comparative statements

Certain amounts in prior years have been reclassified for consistency of presentation.

Cash and cash equivalents

The Company considers cash in banks and highly liquid investments with original maturities of three months or less as cash and cash equivalents. Money-market deposits with original maturities of more than three months are classified as short-term investments along with marketable securities. The Company had € 36,336 in money-market deposits as at December 31, 1999, none in 2000.

Marketable securities

Marketable debt and equity securities, other than investments accounted for by the equity method, are categorized as either available-for-sale or held-to-maturity. Securities classified as available-for-sale are reported at fair value at the balance sheet date and held-to-maturity securities are reported at amortized cost. Unrealized gains and losses on available-for-sale securities are included in accumulated other comprehensive income, net of applicable deferred tax.

Inventories

Inventories consist of merchandise sold in Telekom shops and of material and spare parts used for the construction of networks, mainly for the Company's own use. Inventories are valued at the lower of cost or market, cost being determined on the basis of weighted average cost.

Property, plant and equipment

Property, plant and equipment are stated at cost and include certain costs which are capitalized during the installation and expansion of the telecommunications network including material, payroll, direct overhead and interest costs. Value-added tax (VAT) which is charged by suppliers and refunded by the tax authorities is not included in cost. Plant and equipment under capital leases are stated at the lower of present value of minimum lease payments or fair value.

Depreciation on plant and equipment is calculated at the straight-line method over the estimated useful lives of the assets. Plant and equipment under capital lease and leasehold improvements are amortized straight-line over the lease term or the estimated useful life of the asset.

All amounts in € ´000s omitted

The useful lives are:

	Years
Transmission equipment	3 - 20
Cables and wires	10 - 20
Communication equipment	4 - 10
Software	4 - 5
Furniture, fixtures and other	3 - 8
Buildings	10 - 50

Maintenance and repairs are expensed as incurred while replacements and improvements are capitalized. The cost and accumulated depreciation of assets sold or retired are removed from the accounts, and any resulting gain or loss is reflected in other income or expenses.

Intangible assets

Intangible assets are stated at cost and are amortized straight-line over the estimated useful life over the periods shown below:

	Years
Goodwill	3 - 5
Other intangibles	10 - 30

Software development costs

In 1999, the Company adopted Statement of Position (SOP) 98-1, Accounting for the Costs of Computer Software Developed or Obtained for Internal Use. In accordance with this standard, certain direct and indirect development costs associated with internal-use software are capitalized, including external direct costs of material and services, and payroll costs for employees devoting time to the software projects. These costs are amortized using the straight-line method over a period not exceeding four years beginning when the asset is substantially ready for use. Costs incurred during the preliminary project stage, maintenance and training costs, as well as research and development costs are expensed as incurred.

Advertising and promotional cost

Advertising and promotional costs are expensed as incurred and totaled € 67,379, € 47,661 and € 26,161 in 2000, 1999 and 1998, respectively.

Research and development cost

Research and development costs are expensed as incurred and amounted to € 28,190, € 18,516 and € 19,948 in 2000, 1999 and 1998, respectively.

Income taxes

Income taxes are accounted for under the liability method. Deferred tax assets and liabilities are recognized for the future tax consequences attributable to differences between the financial statements carrying amounts of existing assets and liabilities and their respective tax bases and operating loss and tax credit carry-forwards. Deferred tax assets and liabilities are measured using enacted tax rates expected to apply to taxable income in the years in which these temporary differences are expected to be recovered or settled. The effect on deferred tax assets and liabilities of changes in tax rates is recognized as income or expense in the period that includes the enactment date.

Investment tax credits are recognized as a reduction of income taxes in the period in which those credits are granted.

All amounts in € ´000s omitted

Earnings per share

Basic and dilutive earnings per share are computed by dividing consolidated net income by the weighted average number of common shares outstanding for the year. As the Company will not issue new shares for the stock option plan, but has purchased an American call option to satisfy the obligation, diluted earnings per share equals basic earnings per share, as there were no potentially dilutive securities for any of the periods presented.

Concentration of risks

A portion of the Company's revenue is derived from services provided to others in the telecommunications industry, mainly to alternative telecommunications and cellular companies and Internet online services. As a result, the Company has some concentration of credit risk in its customer base. The Company performs ongoing credit evaluations of its large customers' financial condition to support its receivables. As of the balance sheets dates, the Company does not have any significant concentration of business transacted with a particular supplier or lender that could, if suddenly eliminated, severely impact the operations. The Company also does not have a concentration of available sources of labor, services, franchises, or licenses or other rights that could, if suddenly eliminated, severely impact the operations. The Company invests its cash with several high-quality credit institutions.

Foreign currency translation

The Company prepares and reports its consolidated financial statements in Austrian schilling and then translates them into EURO (€ or EUR).

In the individual company financial statements, foreign currency receivables, cash in banks and liabilities are converted at the exchange rate applicable on the transaction date. Unrealized foreign currency losses and gains due to exchange rate fluctuations through the balance sheet date are recognized in the income statement. Foreign currency items, hedged by forward exchange contracts, are valued by the corresponding hedged rate.

The functional currency for the Company's foreign operations is the applicable local currency. The translation from the applicable foreign currencies to EUR is performed for assets and liabilities using the current exchange rate in effect at the balance sheet date. Revenue and expense accounts are translated using the weighted average exchange rate during the period. The resulting translation adjustments are recorded as other comprehensive income or loss.

Revenue recognition

The Company recognizes long-distance and local services revenue based upon minutes of traffic processed or contracted fee schedules when the services are rendered. Revenues due from foreign operators for international incoming calls are included in revenues in the period in which the call occurs.

Access fees and lines leased to commercial customers are billed in advance resulting in deferred revenues. Cash discounts and incentives are accounted for as a reduction of revenues when granted or, where a service continuation exists, ratably over the contract period.

The installation of customer lines in residences is a separate service and the Company provides this installation service in situations where it is not providing other services. Revenue on such installation work is recognized when the installation work is completed. Product and other service revenues are recognized when the products are delivered and accepted by customers or when services are provided in accordance with contract terms.

All amounts in € ´000s omitted

In December 1999, the SEC issued Staff Accounting Bulletin No. 101, Revenue Recognition in Financial Statements (SAB 101) which the Company adopted in the fourth Quarter 2000. No material changes were necessary upon adoption.

Impairment of long-lived assets and long-lived assets to be disposed of

The Company accounts for long-lived assets in accordance with the provisions of SFAS No. 121 Accounting for the Impairment of Long-Lived Assets and of Long-Lived Assets to Be Disposed of. This Statement requires that long-lived assets and certain identifiable intangibles be reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount of an asset may not be recoverable. Recoverability of assets to be held and used is measured by a comparison of the carrying amount of an asset to undiscounted future net cash flows expected to be generated by the asset. If such assets are considered to be impaired, the impairment to be recognized is measured by the amount by which the carrying amount of the assets exceeds the fair value of the assets. Assets to be disposed of are reported at the lower of the carrying amount or estimated proceeds less cost to sell.

Derivative financial instruments

Derivative financial instruments are used by the Company to manage its exposure to adverse fluctuations in interest and foreign exchange rates. The Company has established a control environment which includes policies and procedures for risk assessment, approval, reporting and monitoring of derivative financial instrument activities. The Company is not a party to leveraged derivatives and the policies prohibit the holding or issuing of financial instruments for speculative purposes.

Unrealized gains and losses on foreign exchange instruments are recognized in other income or expenses in the income statement, at the same time the effects of related changes in the items hedged are recognized. Interest rate swap agreements that the Company designates as a hedge of long-term debt obligations are accounted for on an accrual basis. Interest rate differentials associated with interest rate swaps used to hedge the Company's debt obligations are recorded as an adjustment to interest payable.

Realized gains or losses that occur from the early termination or expiration of contracts are deferred and recorded in income over the remaining period of the original swap agreement.

The effectiveness of a hedge is measured by historical and probable high correlation of changes in fair value of the hedging instruments with changes in the value of the hedge item. If correlation ceases to exist, hedge accounting is terminated and gains and losses are recorded in other income. Derivatives that do not meet the conditions for hedge accounting are reported at fair value either as other asset or other liability.

Fair value of financial instruments

The carrying amounts for cash, accounts receivable, accounts payable, receivables due from and payables due to related parties and accrued liabilities approximate their fair value. The fair values of securities held-to-maturity and securities available-for-sale is based on quoted market rates. The fair value of long-term debt and swap agreements is determined based on the cash flows from such financial instruments discounted at the Company's estimated current interest rate to enter into similar financial instruments.

The fair value of some investments is estimated based on quoted market prices. For other investments, mainly in unconsolidated subsidiaries and equity investments, for which there are no quoted market prices, an estimate of fair value was not made, as it was not practicable to estimate the fair value of those investments.

All amounts in € ´000s omitted

Use of estimates

The preparation of financial statements in conformity with generally accepted accounting principles requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements, and revenue and expenses during the period reported. Actual results could differ from those estimates.

New accounting pronouncements

In June 1998, the Financial Accounting Standards Board (FASB) issued Statement of Financial Accounting Standards No. 133, Accounting for Derivative Instruments and Hedging Activities (SFAS 133). Among other provisions, it requires that entities recognize all derivatives as either assets or liabilities in the statement of financial position and measure those instruments at fair value. Gains and losses resulting from changes in the fair values of those derivatives would be accounted for depending on the use of the derivative and whether it qualifies for hedge accounting. The effective date of this standard was delayed via the issuance of Statement of Financial Accounting Standards No. 137. The effective date for SFAS No. 133, as amended by Statement of Financial Accounting Standards No. 138, is now for fiscal years beginning after June 15, 2000, though earlier adoption is encouraged. The Company adopted SFAS 133 on January 1, 2001 as a one-time cumulative adjustment.

It is estimated that adoption of SFAS 133 will result in a net transition adjustment loss of € 11,492, net of tax € 5,920, and a net transition adjustment gain of € 533, net of tax € 275, in other comprehensive income as of January 1, 2001. Further, the adoption of the Statement will result in a derivative instrument asset of € 48,359 and a derivative instrument liability of € 17,412. Also, the Company expects that the adoption of SFAS 133 will increase the volatility of other comprehensive income. In general, the amount of volatility will vary with the level of derivative activities during any period.

In September 2000, the FASB issued SFAS 140, Accounting for Transfers and Servicing of Financial Assets and Extinguishments of Liabilities a replacement of SFAS Statement No. 125. This Statement revises the standards for accounting for securitization and other transfers of financial assets and collateral and requires certain financial statement disclosure. SFAS 140 is effective for transactions occurring after March 31, 2001. The new disclosure requirements are effective for fiscal years ending after December 15, 2000. The expected impact of implementation is expected to be immaterial.

(2) BUSINESS COMBINATION

All acquisitions have been accounted for under the purchase method with the excess of the purchase price over the estimated fair value of the net assets acquired accounted for as goodwill. The results of operations of the acquired businesses are included in the consolidated financial statements from the dates of the acquisition.

In July 2000, the Company acquired 100% of the shares of Czech On Line, an Internet service provider in the Czech Republic for a total acquisition cost of € 231,505. The purchase price was allocated to assets based on fair market value and the balance of € 232,070 was recorded as goodwill and will be depreciated over the estimated useful life of five years. In 2000 amortization of € 23,207 was recorded. Proforma financial statements including Czech On Line were not prepared as it would not have a material impact on the Company's assets and liabilities statements of operations or cash flows.

All amounts in € ´000s omitted

(3) MOBILKOM AUSTRIA

The Company's interests in mobile communications are held through Mobilkom Austria, which operates a mobile telecommunications network and ancillary services in Austria and through its subsidiaries in Croatia and Liechtenstein. The operations include wireless Internet access.

Telekom Austria owns 75% minus one share of the common stock in Mobilkom Austria. Due to certain substantive participating rights held by the minority shareholder, the Company's investment in Mobilkom Austria is accounted for under the equity method. These participation rights include significant blocking rights over operating decisions including operating budgets, capital spending, senior management positions, strategy and dividend distributions.

The Company's investment in and amounts due to and from the mobile communications group at December 31, 2000 and 1999 consists of the following:

	2000	1999
Investment		
Beginning of year	540,719	481,893
Equity in net income	125,716	116,817
Dividends received	(65,950)	(57,774)
Other	546	(217)
End of year	601,031	540,719

The following table presents summarized financial information about Mobilkom Austria

	2000	1999
Income statement information		
Revenues	1,500,078	1,242,365
Depreciation and amortization	(174,442)	(120,763)
Operating income	261,136	225,771
Interest, net	(17,095)	(10,093)
Minority interest	529	10,377
Income before taxes	243,490	223,886
Net income	167,456	155,588

	2000	1999
Balance sheet information		
Total current assets	401,210	429,975
Total assets	1,964,017	1,654,115
Current liabilities	482,256	473,505
Non-current debt	666,285	441,517
Minority interest	14,090	18,124
Stockholders' equity	801,386	720,969

All amounts in € ´000s omitted

▸2000 ▸2001 ▸2002 ▸2003

(4) OTHER EQUITY INVESTEES

The investments in equity investees include a 25% plus one share interest in Libro AG (Libro), a 26% holding in Herold Business Data (Herold) and a 49% interest in Walky Talky Telecom GmbH (Walky Talky).

In 1998, the Company acquired a 26% interest in Herold, which is engaged in the media and information business and is the provider of the telephone directory in Austria including electronic versions. Goodwill is being amortized over five years and amortization for each of the years 2000, 1999 und 1998 was € 841.

In April 2000, the Company acquired 49% of Walky Talky for a purchase price of € 7,703. Walky Talky mainly leases radio frequencies to organizations providing emergency services. Goodwill is being amortized over five years and amortization for the year 2000 was € 598.

On March 1, 2000 the Company purchased 25% plus one share of common stock of Libro, a book, CD, video, paper and new media company. The purchase price for the investment totaled € 90,537. Since the purchase, Libro and its subsidiaries have incurred significant losses. The investment in Libro was made mainly to develop the Internet company. The strategy of the Company to build up this Internet company together with Libro was not successful. Therefore, the investment in Libro was written down to the Company's share of Libro's equity of € 0.

A summary of aggregated financial information as reported by equity investees other than Mobilkom Austria is as follows:

	2000	1999	1998
Income statement information			
Revenues	333,561	50,087	41,153
Operating (loss) income	(35,306)	6,937	1,358
Net (loss) income	(45,790)	4,757	1,608

At December 31,	2000	1999
Total current assets	288,579	36,554
Total assets	408,301	40,034
Current liabilities	387,319	35,801
Long-term debt	3,073	9,440
Total liabilities	390,392	35,241
Total stockholders' equity	17,909	4,793

All amounts in € ´000s omitted

(5) MARKETABLE SECURITIES

Debt securities originating from cross-border lease transactions entered into in 1998 and 1999 (see note (14)) are classified as held-to-maturity as the Company is contractually obligated to hold these securities until maturity. The securities are bonds of triple A rated issuers and held by a custodian. Through a further asset-based swap the cash inflows from the securities are transformed into the cash flow stream required to match a specified portion of the lease payments. The securities are pledged to a counterparty in the swap agreement. No sales of securities occurred in 2000, 1999 and 1998. The interest rates on the securities are fixed and range from 5.65% to 9.01%. Accrued interest is recorded as interest income. The securities will mature between 2006 and 2011.

At December 31, 2000	Amortized cost	Gross unrealized holding gains	Gross unrealized holding losses	Fair value
Current assets				
Available-for-sale				
Mutual funds	5,960	86	84	5,962
Non-current assets				
Held-to-maturity	144,161	0	989	143,171
At December 31, 1999				
Current assets				
Available-for-sale				
Mutual funds	5,783	186	0	5,969
Non-current assets				
Held-to-maturity	128,352	0	10,178	118,174

The contractual maturity of debt securities classified as held-to-maturity were as follows as at December 31, 2000.

	Amortized cost	Fair value
Held-to-maturity		
Due after five years through ten years	117,659	116,584
Due after more than ten years	26,502	26,587
	144,161	143,171

Available-for-sale securities are included in short-term investments among current assets. Held-to-maturity securities are reported within non-current assets on the balance sheet.

Proceeds from sales of available-for-sale securities amounted to € 13,749 and € 3,508 in 1999 and 1998, respectively. Gross realized gains from sales of available-for-sale securities were € 203 and € 56, while gross realized losses were € 545 and € 322 in 1999 and 1998, respectively. In 2000 no such gains or losses occurred. The specific identification method was used to determine the cost in computing realized gains and losses.

All amounts in € ´000s omitted

(6) ACCOUNTS RECEIVABLE

The roll forward of the allowance for accounts receivable is as follows:

	2000	1999
Allowance beginning of the year	61,423	57,956
Charged to expenses	26,483	40,142
Amounts written-off	(15,738)	(36,675)
Allowance at the end of the year	72,168	61,423

(7) RELATED PARTY TRANSACTIONS

The terms of the services provided by Telekom Austria to government entities are generally based on standard pricing policies. However, the Company is obligated to provide voice telephony services for disadvantaged individuals at reduced tariffs for which it is entitled to an appropriate compensation from the government on a contractual basis. The reimbursement was € 83,574 and € 39,970 in 2000 and 1999, respectively. The reimbursement 2000 was a result of negotiations with the government which lead to an additional one-time payment for remainder amounts for the years 1998, 1999 and 2000.

The disclosures below present balances and transactions relating to the immediate shareholder ÖIAG and its subsidiary Österreichische Post AG as ÖIAG, while other government agencies and government-owned entities are for practical reasons not disclosed. None of the individual accounts associated with government agencies or government-owned entities is considered significant to the Company.

The following is the detail of the accounts receivable with related parties:

At December 31,	2000	1999
ÖIAG	45,178	57,214
Telecom Italia	3,762	2,340
Unconsolidated subsidiaries	168	238
Other equity investees	946	38
Mobilkom Austria - accounts receivable	57,087	50,416
Total receivables due from related parties	107,141	110,246
Mobilkom Austria – financing long-term	218,018	0

The following is the detail of the accounts payable with related parties:

At December 31,	2000	1999
ÖIAG	29,943	564,602
Telecom Italia	6,871	6,859
Unconsolidated subsidiaries	386	68
Other equity investees	3,152	271
Mobilkom Austria – accounts receivable	45,034	48,702
Mobilkom Austria – financing short-term	18,358	68,860
Total	103,744	689,362

All amounts in € ´000s omitted

▸2000 ▸2001 ▸2002 ▸2003

The majority of related party transactions are carried out with Österreichische Post AG and its subsidiaries (the Post) which provide postal services and are a subsidiary of ÖIAG. The Company was charged € 61,490, € 110,294 and € 122,077 in 2000, 1999 and 1998, respectively, for different services received such as postal charges, rent, repair and administration. The Company charged the Post for IT support, voice telephony, technical services, rent, repair and other services totalling € 63,905, € 69,880 and € 56,241 in 2000, 1999 and 1998, respectively.

The Company purchased services from Telecom Italia and affiliated companies for technical and management services in the amount of € 9,203, € 4,456 and € 0 in 2000, 1999 and 1998, respectively.

Interconnection revenues from Telecom Italia were € 9,186, € 5,645 and € 8,900 and interconnection expenses were € 17,396, € 5,321 and € 7,235 in 2000, 1999 and 1998, respectively.

One of the Company's consolidated subsidiaries, Telekom Finanzmanagement GmbH (TFG), provides treasury services for the Company, Mobilkom Austria and, until December 29, 2000 for subsidiaries of ÖIAG. Of the total balances with ÖIAG, liabilities of € 520,074 and receivables of € 9,436 as at December 31, 1999 relate to cash of subsidiaries of ÖIAG held and managed by TFG. The Company was charged interest expenses of € 12,659, € 27,884 and € 11,764 and recognized interest income of € 128, € 1,975 and € 20,059 with ÖIAG in 2000, 1999 and 1998, respectively. In connection with treasury and financing transactions with Mobilkom Austria, the Company was charged interest of € 386, € 3,414 and € 3,098 in 2000, 1999 and 1998, respectively, and charged Mobilkom Austria for interest in an amount of € 3,010 in 2000, which mainly relates to long-term financing of Mobilkom Austria.

The Company holds investments accounted for under the equity method of accounting in an amount of € 612,962 and € 544,799 as at December 31, 2000 and 1999, respectively, essentially all of which relates to Mobilkom Austria. Mobilkom Austria charged the Company for different services received such as interconnection, rent, commission and administration expenses in the amount of € 221,005, € 224,793 and € 161,831 in 2000, 1999 and 1998, respectively. The Company charged Mobilkom Austria for interconnection, voice telephony, rent, repair and other services in the amount of € 216,727, € 187,445 and € 143,133 in 2000, 1999 and 1998, respectively.

(8) INVENTORIES

Inventories consist of:

At December 31,	2000	1999
Spare parts, cables and supplies	61,242	64,759
Merchandise	13,534	14,930
Total	74,776	79,689

All amounts in € ´000s omitted

▸2000 ▸2001 ▸2002 ▸2003

(9) PROPERTY, PLANT AND EQUIPMENT

Property, plant and equipment transferred to the Company by the government was recorded upon transfer at cost less accumulated depreciation as at that date.

At December 31,	2000	1999
Land	64,626	64,634
Buildings and leasehold improvements	647,743	629,683
Communications network and other equipment	7,597,658	7,273,391
Capital leases	13,590	12,250
Software	71,953	72,358
Construction in progress, network	97,911	141,159
	8,493,481	8,193,475
Less accumulated depreciation (other than capital leases)	(3,412,643)	(2,773,832)
Less accumulated depreciation, capital leases	(11,331)	(8,518)
Property, plant and equipment, net	5,069,507	5,411,125

Total interest capitalized was € 3,876 and € 10,719 in 2000 and 1999, respectively.

Depreciation expense was € 889,088 and € 862,248 in 2000 and 1999, respectively. These amounts include amortization of software of € 16,499 and € 20,178 in 2000 and 1999, respectively, and amortization of leased assets of € 2,611 and € 2,831 in 2000 and 1999, respectively.

(10) SHORT-TERM BORROWINGS

The Company's short-term borrowings include:

At December 31,	2000	1999
Current portion of long-term debt	475,589	454,596
Short-term debt	386,672	0
Lines of credit	2,486	18,087
Current portion of lease obligations	81,245	36,179
Total	945,992	508,862

In 2000, the Company entered into short-term interim financing of € 384 million with due dates between January and June 2001. It is the Company's intention to restructure this short-term borrowings into long-term debt during 2001.

The weighted-average interest rate on lines of credit was 4.78% and 3.85% in 2000 and 1999, respectively.

All amounts in € ´000s omitted

▸2000 ▸2001 ▸2002 ▸2003

(11) ACCRUED LIABILITIES

Accrued liabilities consist of the following:

At December 31,	2000	1999
Non-income taxes	17,606	18,036
Employees	58,113	48,918
Customer discounts	64,886	48,256
Exit costs	10,376	0
Other	21,998	18,443
Total	172,979	133,653

In establishing liabilities management assesses different scenarios of reasonably estimated outcomes in determining the amount that the Company is expected to pay upon the resolution of a contingency. The Company records the most likely of all scenarios contemplated or, if none of the scenarios is more likely to occur, the scenario with the lowest amount is considered in estimating the amount of the liability.

At December 31, 2000, an accrual for exit costs in the amount of € 10,376 was recorded. The accrual covers the refurbishment cost of leased buildings as the lease contracts were terminated.

At December 31, 2000, a potential exposure for local non-income taxes amounted to € 13.8 million. As management does not expect payments to be probable, no accrued liability was recorded.

(12) DEFERRED INCOME

At December 31,	2000	1999
Unearned income	59,681	62,773
Unamortized balance on sale of tax benefits	44,232	48,949
	103,913	111,722
Thereof non-current portion	(37,405)	(44,231)
Thereof deferred income net of non-current portion	66,508	67,491

Additional information concerning the sale of the tax benefits is contained in note (14), Leasing.

All amounts in € ´000s omitted

(13) LONG-TERM DEBT

The outstanding long-term debt, other than lease obligations is summarized as follows:

At December 31,	Maturity	2000	1999
Bonds and debentures	2001-2005	313,409	524,131
Bank debt	2001-2011	2,516,038	2,249,591
		2,829,447	2,773,722
Less current portion of long-term debt		(475,589)	(454,596)
Long-term debt, net of current portion		2,353,858	2,319,126

Most of the bonds were issued and loans granted while the Company was still part of the government. Of the bank total debt, amounts of € 2,444,132 and € 2,767,168 at December 31, 2000 and 1999, respectively, are guaranteed by the Federal Republic of Austria.

In March 2000 the Company entered into a loan agreement for € 145,000 with the European Investment Bank. Under the terms of this agreement the Company must observe covenants requiring the Company to meet certain financial ratios. If these ratios are not met, the bank would be entitled to receive collateral from the Company. As at December 31, 2000, the Company was in compliance with these covenants.

Further, in October 2000 the Company entered into a loan agreement for € 232,553. Under the terms of the contracts the Company has to maintain certain investments otherwise the loan becomes due. As at December 31, 2000 the Company was in compliance with these covenants. The interest rates vary depending on the rating of the Company.

The year-end interest rates for the long-term debt excluding interest-rate swap agreements for 2000 and 1999 are as follows:

	2000	1999
Bonds	5.95%	4.63%
Bank loans	5.84%	5.73%

Following is a table that shows the aggregate amounts of long-term debt maturing during the next five years and thereafter:

2001	475,589
2002	348,353
2003	353,392
2004	337,848
2005	512,486
Thereafter	801,779

All amounts in € ´000s omitted

(14) LEASING

The Company leases equipment used in its operations which are classified as either operating or capital leases. The lease contracts expire on various dates through 2010.

Future minimum lease payments, for non-cancelable operating leases, capital leases and cross-border leases as at December 31, 2000 are:

	Cross border leases	Capital leases	Operating leases
2001	77,012	4,233	44,567
2002	77,561	2,196	34,027
2003	78,881	77	31,872
2004	82,594	77	30,423
2005	92,582	13	29,940
After 2005	897,380	0	17,727
Total minimum lease payments	1,306,010	6,596	188,556
Less amount representing interest	(431,970)	(436)	
Present value of lease payments	874,040	6,160	
Less current portion	(77,012)	(4,233)	
Non-current lease obligations	797,028	1,927	

Total rent expense was € 52,299, € 45,066 and € 43,089 in 2000, 1999 and 1998, respectively.

Cross-border leases

In 1999 and 1998, the Company entered into various cross-border lease transactions whereby certain equipment items, mainly switches were sold to a U.S.-based trust and leased back for certain terms. Concurrent with the inception, the Company entered into Payment Undertaking Agreements (PUA) with several counter-parties whereby the counter-parties agree to make lease payments on behalf of the Company in exchange for a deposit. The counter-parties in the PUAs received up-front payments equaling € 509,285 and € 113,763 for a portion of the debt assumed in 1999 and 1998, respectively. Interest accruing on the cash deposits match interest on the debt portion financed through the deposit. In addition to the cash deposits made, the Company purchased debt securities, deposited those securities with a custodian and pledged the securities to one of the counter-parties in the PUA; the balance is to cover the remaining portion of the present value of the lease obligation not yet covered by the cash deposit made by the Company. The Company then also entered into a swap agreement with that very counter-party swapping the entire cash flows from the securities for cash flows from the portion of the lease payments that the counter-party is obligated to pay under the PUA. As a result of the swap agreement, interest income on the securities matches interest expense on the lease.

The difference between the cash proceeds from the sale and the present value of the future minimum lease payments represents a gain on the sale of a tax benefit. The net cash effect resulting from these transactions relates to the total gain from the sale of the tax benefits which amounted to € 44,437 and € 7,337 in 1999 and 1998, respectively. The Company is amortizing these amounts over the term of the lease. The cash deposits and securities purchased in connection with the PUA contracts and the lease obligation are recorded separately on the balance sheets, as the Company has not been released from their obligation under the lease and a legal right of offset does not exist.

All amounts in € ´000s omitted

Accordingly, interest income and expenses totaling € 56,773, € 30,261 and € 3,125 have been recognized in 2000, 1999 and 1998, respectively.

Total assets and liabilities recorded in connection with the cross-border leases were as follows:

At December 31,	2000	1999
Securities held-to-maturity, non-current	144,161	128,352
Other assets	729,879	661,440
Thereof current	77,012	33,561
Lease obligations	874,040	789,792
Thereof current	77,012	33,561

(15) EMPLOYEE BENEFITS

Liabilities for employee benefits consist of the following:

At December 31,	2000	1999
Post-employment benefit obligation	358,128	166,927
Service awards	60,289	54,737
Severance	20,205	14,644
Pensions	9,914	12,154
Total	448,536	248,462

Post-employment benefit obligation

In June 2000, June 1999 and November 1997, the Company offered voluntary retirement incentive programs (VRIPs) to eligible civil servants meeting the criteria detailed in the programs.

As at December 31, 2000, approximately 2,976 employees had accepted the VRIP offers. In connection with the VRIPs, the Company made payments of € 61,985 and € 51,376 in 2000 and 1999, respectively.

An obligation for voluntary termination benefits is recognized when the eligible civil servant, who cannot be terminated involuntarily accepts the offer. The present value of the obligation is determined based on current compensation levels and the law. An annual increase of 2% for future years and a discount rate of 4.5% is used. VRIPs are not funded.

Any change in the estimate caused by changes in the law will be expensed in the period of the change.

Actuarial assumptions

The assumptions used in the measurement of obligations for service awards, severance payments and pensions are shown in the following table:

At December 31,	2000	1999
Weighted-average assumptions:		
Discount rate	5.5%	5.5%
Rate of compensation increase	3.5%	3.5%
Rate of increase of pensions	1.7%	1.7%

Service awards

All amounts in € ´000s omitted

▸2000 ▸2001 ▸2002 ▸2003

Civil servants and employees (together employees) are eligible to service awards. Under these plans, eligible employees receive a cash bonus after a specified service period. The bonus is equal to two monthly salaries after 25 years of service and four monthly salaries after 40 years of service. Employees with at least 35 years of service when retiring are also eligible to a four-month bonus. The compensation is accrued as earned over the period of service taking into account estimates of employees whose employment will be terminated or who will retire prior to reaching the required service period.

The following table provides a reconciliation of the changes of service award for the years ended December 31, 2000 and 1999, respectively:

	2000	1999
Obligation at the beginning of the year	54,737	54,501
Service cost	2,352	2,277
Interest cost	2,931	2,675
Actuarial losses	3,574	917
Benefits paid	(3,305)	(5,633)
Obligation at the end of the year	60,289	54,737

Severance

Certain employees are eligible to receive severance payments upon termination of their employment. Civil servants generally are not eligible to receive severance payments.

Eligible employees receive severance payments equal to a multiple of their monthly compensation which comprises fixed compensation plus variable elements like overtime, bonus. Maximum severance is equal to a multiple of twelve times eligible monthly compensation. Up to three months of benefits are paid upon termination, any benefit in excess of that amount in monthly installments over a period not exceeding ten months. In case of death, the heirs of an eligible employee will receive 50% of the severance benefits.

The following table provides a reconciliation of the changes of severance benefit obligations for the years ended December 31, 2000 and 1999, respectively:

	2000	1999	1998
Service cost	1,452	1,119	1,008
Interest cost	816	744	735
Net periodic benefit cost	2,268	1,863	1,743

The liability for voluntary severance payments also relates to individuals, who are generally not en-

All amounts in € ´000s omitted

	2000	1999
Obligation at the beginning of the year	15,056	14,292
Service cost	1,452	1,119
Interest cost	816	744
Actuarial gains (losses)	951	412
Benefits paid	(1,947)	(1,511)
Projected benefit obligation at the end of year	16,328	15,056
Unrecognized net gain (loss)	(1,340)	(412)
Accrued liability at the end of the year	14,988	14,644
Voluntary severance payments	5,217	0
Total accrued liabilities at the end of the year	20,205	14,644

titled to severance payments, but have accepted a special offer by the Company to receive severance payments when terminating their contract.

Pensions

Defined contribution pension plans

Pension benefits are generally provided by social security for employees and by the government for civil servants in Austria. The Company is required to assist in funding the Austrian government's pension and health care obligations to the Company's current and former civil servants and their surviving dependents. The Company is legally obligated to make annual contributions to the government of 27.5 until September 30, 2000 of the compensation of active civil servants (including contributions from the civil servants). The contribution to the government were increased to 28,3% beginning October 1, 2000. The Company has no additional obligation. Contributions to the government, net of the share contributed by the civil servants, were € 59,064, € 62,402 and € 62,793 in 2000, 1999 und 1998, respectively.

The Company also sponsors a defined contribution plan covering substantially all employees of one subsidiary. The Company's contributions to this plan are based on various percentages of compensation not exceeding 5% of the salary including certain bonuses. The annual cost of this plan amounted to approximately € 1,364, € 660 and € 513 in 2000, 1999 and 1998, respectively.

Defined benefit pension plan

The Company provides defined benefits for certain former employees of one subsidiary. All of those employees are already retired and were employed prior to January 1, 1975. The plan provides benefits based on a percentage of the salary depending on the years employed, not exceeding 80% of the salary before retirement including the pension provided by social security.

The Company uses the projected unit credit method to determine pension cost for financial reporting purposes. In conjunction with this method the Company amortizes actuarial gains and losses using the corridor method.

The plan is not funded.

All amounts in € ´000s omitted

The pension benefits for 2000, 1999 and 1998 are shown in the following table:

	2000	1999	1998
Service cost	0	0	0
Interest cost	695	711	774
Amortization of unrecognized net obligation	343	342	343
Net periodic pension benefit cost	1,038	1,053	1,117

The following table provides a reconciliation of the changes of benefit obligations for the years ended December 31, 2000 and 1999, respectively:

	2000	1999
Projected benefit obligation at the beginning of year	12,062	12,913
Service cost	0	0
Interest cost	695	711
Actuarial gains	(2,638)	(575)
Benefits paid	(974)	(987)
Projected benefit obligation at the end of the year	9,145	12,062
Unrecognized net gain	1,797	1,463
Transitional obligation	(1,028)	(1,371)
Accrued pension liability	9,914	12,154

(16) STOCK BASED COMPENSATION

Stock Option Plan

On October 4, 2000, the shareholders of Telekom Austria approved a stock option plan. Under this plan, the Company may grant a total of 3,832,248 options, each of which entitle eligible grantees upon exercise of the option to receive at their choice either cash equal to the difference between the average quoted price of Telekom Austria stock during the five trading days preceding the exercise and the IPO price of € 9 or shares at an exercise price of € 9. One option is convertible into one share. The options granted may be exercised on specific dates between May 31, 2002 and February 27, 2004 as long as the average share price during the five days prior to exercise exceeds the initial public offering price by 30% or more. The Company will recognize compensation expense over the applicable service periods if the performance hurdles are met.

On November 21, 2000 the Company granted all 3,832,248 options, all of which are outstanding as at December 31, 2000.

As the stock option plan is accounted for in accordance with APB Opinion 25 and related interpretations, the amount of the liability is measured each period based on the current stock price. As the stock price as at December 31, 2000 does not meet the hurdle, no compensation expense was recorded in 2000.

On November 21, 2000 Telekom Austria purchased 3,832,248 American call options for a premium of € 12,527. The expiration date is February 27, 2004. The underlying share of the American call option is the share of Telekom Austria AG. The strike and execution price of the call option is € 9 and settlement is either physical delivery of the shares or cash, at the request of Telekom Austria. The American call option will be used to satisfy any obligation resulting from the stock option plan. The American call option is recorded net of tax € 4,162 in stockholder's equity.

All amounts in € ´000s omitted

Stock purchase plan

ÖIAG, the selling shareholder, approved a stock purchase plan for employees of Telekom Austria and its sub-sidiaries in which the Company has at least a 50% interest. Under the stock purchase plan, each eli-gible employee was allowed to purchase shares worth up to € 1,817 (25,000 Austrian schilling) at a total discount of 45% from the offering price made up of the 5% Austrian retail discount and an additional 40% employee discount if they purchase at least € 654 (9,000 Austrian schilling) worth of shares. The maximum benefit to each employee was € 727 (10,000 Austria schilling) which must be refunded to ÖIAG if the employee sells the shares before January 1, 2003. The Company reported a capital contribution by ÖIAG of € 7,924 and a compensation expense of € 7,196.

(17) INCOME TAXES

Income before income taxes, minority interest, equity in earnings from affiliates and extraordinary items is attributable to the following geographic locations:

	2000	1999	1998
Austria	(496,573)	97,946	426,772
Other countries	(756)	0	0
Total	(497,329)	97,946	426,772

Income tax expense (benefit) attributable to income before extraordinary items for the years ended December 31, consisted of the following:

	2000	1999	1998
Current	68	20,759	140,029
Deferred	(178,897)	(6,270)	(16,654)
Total	(178,829)	14,489	123,375

The Company is subject to income taxes in Austria at a rate of 34% of taxable income. The following table shows the principal components for the difference between the effective income tax rate and the Austrian statutory income tax rate based on income before income taxes, equity in earnings of affiliates and extraordinary items in 2000, 1999 and 1998:

	2000	1999	1998
Income tax at statutory rate	(169,092)	33,301	145,102
Tax-free income	(20,411)	(19,464)	(22,130)
Permanent differences	10,651	527	517
Other	23	125	(114)
Effective income tax expense	(178,829)	14,489	123,375
Effective income tax rate	36.0%	14.8%	28.9%

Tax-free income mainly comprises investment tax credits.

All amounts in € ´000s omitted

▸2000 ▸2001 ▸2002 ▸2003

In December 2000 Telekom Austria AG fulfilled the requirements to include three of its consolidated subsidiaries in its tax return for the whole year 2000. Based on that the tax assets and tax liabilities of these companies are netted in the table below for the year 2000. The tax effects of temporary differences that give rise to deferred tax assets and liabilities at December 31 are as follows:

	2000	1999
Tax assets		
Trade payables	2,975	8,764
Accounts receivable	1,445	294
Net operating loss carry-forward	201,558	6,195
Employee benefit obligation	2	12,164
Long-term debt	16,178	11,611
Other	12,920	3,735
Total deferred tax assets	235,078	42,763

	2000	1999
Tax liabilities		
Property, plant and equipment	(55,340)	(64,080)
Other current liabilities	(13,112)	(5,196)
Other assets	(12,292)	(14,216)
Untaxed reserves	(4,081)	(4,271)
Employee benefit obligation	(18,590)	0
Other	(6,415)	(15,321)
Total deferred tax liabilities	(109,830)	(103,084)
Net deferred taxes	125,248	(60,321)

At December 31, 2000 and 1999, the Company had approximately € 593,031 and € 18,220, respectively, of net operating losses. Thereof € 2,429 have an expiration date of seven years, the remaining amounts are not subject to expiration.

In assessing the recoverability of deferred tax assets, management considers whether it is more likely than not that all the deferred tax assets will be realized. The ultimate realization of deferred tax assets is dependent upon the generation of future taxable income during the periods in which those temporary differences become deductible. Management considers the scheduled reversal of deferred tax liabilities and projected future taxable income in making this assessment. Based on the level of historical taxable income and projections for future taxable income over the periods in which the deferred tax assets are deductible, management believes it is more likely than not the company will realize all the benefits of these deductible differences.

All amounts in € ´000s omitted

(18) FINANCIAL INSTRUMENTS

The Company enters into various types of financial instruments in the normal course of business including derivative financial instruments, for purposes other than trading.

By their nature, all such instruments involve risk, including market risk and credit risk of non-performance by counter-parties, and the maximum potential loss may exceed the amount recognized in the balance sheets. However, at December 31, 2000 and 1999, in management's opinion the probability of non-performance of the counter-parties in these financial instruments was remote.

Credit risk

The Company monitors its exposure to credit risk. The Company does not have any significant exposure to any individual customer or counter-party, nor does it have any major concentrations of credit risk related to any financial instruments other than noted under section concentration of credit risk in significant accounting policies.

The Company does not require collateral in respect of financial assets. In order to reduce the risk of non-performance by the other parties to swap agreements, the contracts are subject to the International Swap Dealers Agreement.

Market risk

The market risk is monitored by using value at risk models for interest rate as well as currency risk for the long-term debt and derivative portfolio.

Interest rate swap agreements

The Company entered into interest rate swaps to reduce the aggregate exposure to changes in floating interest rates of the debt portfolio. Fixed interest rate payments as at December 31, 2000, ranged from 6.74% to 3.0%. Floating-rate payments are based on rates tied to different Inter-Bank Offered Rates.

The following table indicates the types of swaps in use at December 31, 2000 and 1999, and their weighted-average interest rates and the weighted-average remaining terms of the interest rate swap contracts. Average variable rates are those in effect at the reporting date and may change significantly over the lives of the contracts:

	2000	1999
Variable to fixed swaps in euro (€)		
Notional amount in €	218,019	218,019
Average receive rate	5.18%	3.37%
Average pay rate	6.20%	6.20%
Average maturity in years	3.5	4.5

	2000	1999
Variable to fixed swaps in Japanese yen (JPY)		
Notional amount in JPY	10,000,000	10,000,000
Notional amount in €	93,528	97,345
Average receive rate	0.54%	0.17%
Average pay rate	3.15%	3.15%
Average maturity in years	3.5	4.5

All amounts in € ´000s omitted

▸2000 ▸2001 ▸2002 ▸2003

Foreign exchange agreements

The Company entered into foreign currency denominated loans, because of low interest rates connected to loans denominated in Japanese yen and Swiss francs (SFR). The use of cross-currency swaps allows the Company to reduce the exposure to the risk of adverse changes in exchange rates. Fixed interest rates as at December 31, 2000, range from 6.4% to 8.03%.

The following table indicates the types of cross-currency swaps in use at December 31, 2000 and 1999, and their weighted-average interest rates and the weighted-average remaining terms of the cross-currency swap contracts:

	2000	1999
Cross-currency swaps € – SFR		
Notional amount in €	235,028	235,028
Notional amount in SFR	400,000	400,000
Average receive rate – SFR	5.58%	5.58%
Average pay rate – €	7.74%	7.74%
Average maturity in years	3.7	4.7

	2000	1999
Cross-currency swaps € – JPY		
Notional amount in €	73,554	73,554
Notional amount in JPY	10,000,000	10,000,000
Average receive rate – JPY	3.15%	3.15%
Average pay rate – €	6.41%	6.41%
Average maturity in years	3.5	4.5

The following table summarizes the fair values of financial instruments:

	2000		1999	
	Carrying amount	Fair value	Carrying amount	Fair value
Cash	17,715	17,715	380,102	380,102
Short-term investments (other than securities)	0	0	36,336	36,336
Accounts receivable	493,817	493,817	613,667	613,667
Balances due from related parties	325,159	325,159	110,246	110,246
Accounts payable	(524,969)	(524,969)	(381,224)	(381,224)
Payables to related parties	(103,744)	(103,744)	(689,362)	(689,362)
Securities held-to-maturity	144,161	143,171	128,352	118,174
Securities available-for-sale	5,962	5,962	5,969	5,969
Long-term debt	(2,353,858)	(2,450,878)	(2,319,126)	(2,444,130)

All amounts in € ´000s omitted

The notional amounts of the derivative instruments below do not represent amounts exchanged by the parties and, therefore, are not a measure of our exposure. The Company's exposure is limited to the fair value of the contracts with a positive fair value plus interest receivable, if any, at the reporting date.

	Notional amount	Carrying amount	Fair value Liability	Asset
2000				
Interest rate swap agreements				
in €	218,019	0	11,270	0
in JPY	93,528	0	8,545	0
Cross-currency swap agreements				
in SFR	235,028	27,577	0	22,456
in JPY	73,554	19,974	0	23,070
1999				
Interest rate swap agreements				
in €	218,019	0	12,993	0
in JPY	97,345	0	9,850	0
Cross-currency swap agreements				
in SFR	235,028	14,178	0	10,608
in JPY	73,554	23,791	0	27,737

(19) RESTRICTED EARNINGS

Dividend distributions are based on earnings determined in accordance with Austrian accounting standards for Telekom Austria AG on a stand-alone basis. As at December 31, 2000 no retained earnings as determined under Austrian accounting rules were available for potential distribution.

Under the terms of the shareholders' agreement between ÖIAG and Telecom Italia, a super-majority vote is required at the annual shareholders' meeting to approve the payment of dividends. In addition, the shareholders' agreement also provides that, unless Telekom Austrias' shareholders agree otherwise, at least 50% of the annual surplus determined in accordance with Austrian accounting rules must be distributed in the form of dividends, provided that any distribution must ensure that Telekom Austria will have an appropriate capitalization/equity ratio and must take into account the profit and capital expenditure requirements of Telekom Austria.

(20) REVENUES

Year ended December 31,	2000	1999	1998
Revenues from services	2,700,521	2,817,357	2,722,294
Revenues from sales of merchandise	113,876	130,842	108,141
Total	2,814,397	2,948,199	2,830,435

All amounts in € ´000s omitted

(21) OTHER OPERATING EXPENSES

Year ended December 31,	2000	1999	1998
Interconnection fees	655,013	527,475	368,842
Repairs	133,346	110,879	99,325
Services received	34,939	39,385	2,612
Advertising and marketing	67,379	47,661	26,161
Rental expenses	52,299	45,066	43,089
Commission expenses	4,072	2,610	518
Bad debt charges to expenses	26,483	40,142	26,984
Legal and other consulting	59,058	34,363	34,668
Charges from related parties	40,433	58,276	54,872
Travel expenses	35,644	41,026	42,520
Other taxes	8,411	13,776	12,070
Energy	21,835	22,144	20,787
Training expenses	11,859	15,229	11,498
Other	66,606	38,662	15,053
Total	1,217,377	1,036,694	758,999

(22) OTHER NON-OPERATING INCOME (EXPENSE) – NET

Year ended December 31,	2000	1999	1998
Foreign exchange losses	(89,430)	(10,016)	(3,082)
Foreign exchange gains	80,474	11,734	6,805
Loss from retirement of assets	(35,161)	(14,046)	(13,412)
Other	(545)	2,800	3,405
Total	(44,662)	(9,528)	(6,284)

(23) EXTRAORDINARY ITEMS

The Company recorded extraordinary losses of € 3,453, € 689 and € 10,468, net of tax of € 1,779, € 355 and € 5,393 in 2000, 1999 and 1998, respectively. In 1999 and 1998 amounts relate to the early redemption of long-term debt with a carrying amount of € 47,237 and € 246,773, respectively. The amount in 2000 relates to an accrued loss representing management's commitment to contribute € 5,232 to the Austrian fund for forced labor victims who were forced laborers between 1938 and 1945 and have raised claims against Austrian industry. In response to these claims, the Parliament of the Republic of Austria and representatives of Austrian companies have set up a fund to settle these claims. Management believes that the amount accrued represents the best estimate of the amount of loss.

All amounts in € ´000s omitted

(24) COMMITMENTS AND CONTINGENCIES

In the normal course of business the Company is subject to proceedings, law-suits and other claims, including proceedings under laws and regulations related to interconnection. Such matters are subject to many uncertainties, and outcomes are not predictable with certainty. Consequently, management is unable to ascertain the ultimate aggregate amount of monetary liability or financial impact with respect to these matters at December 31, 2000. These matters could affect the operating results of any one quarter when resolved in future periods. However, management believes that after final disposition, any monetary liability or financial impact to the Company beyond that provided for at year-end would not be material to its annual consolidated financial statements.

(25) SEGMENT REPORTING

On a monthly basis, the Company's Management Board consisting of four executive officers obtains and disseminates information about the fixed line services (Telekom Austria), data communications (Datakom Austria), mobile communications (Mobilkom Austria) and the other operating segments, which mainly includes Internet business, international data services and other services (Other Segments). As the Internet segment is not material in 2000 it is not reported separately. The Management Board is the Company's chief operating decision-maker and evaluates the performance of the operating segments, allocates resources to those segments and sets incentive goals for management. While the Company does not hold a controlling financial interest in Mobilkom Austria and therefore does not consolidate the mobile telecommunications business for financial reporting purposes, Mobilkom Austria represents a reportable segment of the Company.

The accounting policies of the segments are the same as those described in the summary of significant accounting policies (see note 1). The Company evaluates performance based on several factors, of which the primary financial measure is earnings, including other income (expense), before interest, taxes and depreciation and amortization (EBITDA). EBITDA does not include equity in earnings of affiliates and dividend income from cost method investments.

The fixed line segment includes access fees, domestic long-distance services including Internet, local and fixed line to mobile calls, international traffic, voice value-added services, interconnection, call center services, and public pay-phone services.

The mobile communications segment comprises digital and analog mobile communications services including value-added services like text messaging and e-commerce and information services. Prepaid services are also offered.

The data communications segment includes domestic and international leased lines, switched data services, corporate network services and additional international data services. In the years reported, the data communications segment received cash discounts from the fixed line segment for the usage of datalines. Due to a change in cost allocation strategy, these cash discounts will be reduced beginning in 2001, which will affect EBIT and EBITDA of the data communications segment.

All amounts in € ´000s omitted

2000	Fixed line services	Mobile communications	Data communications	Other	Segment totals
External revenues	2,397,741	1,279,073	205,262	23,271	3,905,347
Intersegmental revenues	279,199	221,005	103,755	28,662	632,621
Total revenues	2,676,940	1,500,078	309,017	51,933	4,537,968
EBITDA	519,498	437,947	59,500	(559)	1,016,386
Depreciation and amortization	857,651	174,442	32,549	1,362	1,066,004
EBIT	(338,153)	263,505	26,951	(1,921)	(49,618)
Interest income	68,538	18,201	691	24,867	112,297
Interest expense	230,144	35,296	421	24,893	290,754
Income tax expense (benefit)	(177,235)	76,034	(454)	(1,140)	(102,795)
Extraordinary losses	3,118	1,343	336	0	4,797
Net income (loss)	(210,769)	167,456	29,442	(442)	(14,313)
Total assets	7,560,133	1,964,017	194,198	488,484	10,206,832
Additions to property, plant and equipment	558,475	323,074	34,198	1,946	917,693

1999					
External revenues	2,562,169	1,016,937	184,808	12,033	3,775,947
Intersegmental revenues	279,950	225,428	94,794	11,113	611,285
Total revenues	2,842,119	1,242,365	279,602	23,146	4,387,232
EBITDA	1,077,089	355,284	43,592	2,140	1,478,105
Depreciation and amortization	837,404	120,763	26,181	556	984,904
EBIT	239,685	234,521	17,411	1,584	493,201
Interest income	37,549	6,784	1,080	33,637	79,050
Interest expense	201,071	16,877	309	32,971	251,228
Income taxes	8,146	68,298	5,348	735	82,527
Extraordinary losses	689	542	0	0	1,231
Net income	133,058	155,589	12,979	1,970	303,596
Total assets	8,055,590	1,614,021	183,585	606,660	10,459,856
Additions to property, plant and equipment	646,634	287,382	48,272	928	983,216

1998					
External revenues	2,522,463	751,317	155,352	9,204	3,438,336
Intersegmental revenues	222,478	161,831	78,923	4,753	467,985
Total revenues	2,744,941	913,148	234,275	13,957	3,906,321
EBITDA	1,355,695	386,506	55,947	376	1,798,524
Depreciation and amortization	794,060	102,510	19,749	426	916,745
EBIT	561,635	283,996	36,198	(50)	881,779
Interest income	23,678	3,417	1,105	31,609	59,719
Interest expense	199,043	17,341	229	28,643	245,256
Income taxes	110,956	87,450	11,448	16	209,870
Extraordinary losses	10,468	0	0	0	10,468
Net income	302,570	182,623	25,682	2,901	513,776
Total assets	7,470,578	1,199,229	163,423	1,156,407	9,989,637
Additions to property, plant and equipment	713,521	158,674	46,261	1,053	919,509

All amounts in € ´000s omitted

2000 2001 2002 2003

EBITDA differs from consolidated net income as a result of the following differences:

	2000	1999	1998
EBITDA - Segment totals	1,016,386	1,478,105	1,798,524
Depreciation and amortization	(915,889)	(864,549)	(814,642)
Interest income	78,552	66,749	40,406
Interest expense	(239,914)	(228,069)	(212,019)
EBITDA - Mobilkom Austria	(437,947)	(355,284)	(386,506)
Other	1,558	994	1,009
Income before taxes, equity of earnings of affiliates and extraordinary items	(497,254)	97,946	426,772
Equity in earnings of affiliates - Mobilkom Austria	125,265	116,817	136,968
Equity in earnings of affiliates - other	(88,951)	652	(423)
Income tax (expense) benefit	178,829	(14,489)	(123,375)
Extraordinary losses	(3,453)	(689)	(10,468)
Net income	(285,564)	200,237	429,474

The segment totals reconcile to the consolidated financial statements as a result of eliminating transactions and balances between consolidated segments and by eliminating Mobilkom Austria which is accounted for under the equity method for purposes of reporting consolidated financial information in accordance with U.S. GAAP

2000	Segment totals	Eliminations	Mobile communications	Consolidated
Total revenues	4,537,968	(223,493)	(1,500,078)	2,814,397
Depreciation and amortization	1,066,004	24,327	(174,442)	915,889
Interest income	112,297	(15,544)	(18,201)	78,552
Interest expense	290,754	(15,544)	(35,296)	239,914
Income tax expense (benefit)	(102,795)	0	(76,034)	(178,829)
Net income (loss)	(14,313)	(103,795)	(167,456)	(285,564)
Total assets	10,206,832	(106,893)	(1,964,017)	8,135,922
Additions to property, plant and equipment	917,693	0	(323,074)	594,619
1999				
Total revenues	4,387,232	(196,668)	(1,242,365)	2,948,199
Depreciation and amortization	984,904	408	(120,763)	864,549
Interest income	79,050	(5,517)	(6,784)	66,749
Interest expense	251,228	(6,282)	(16,877)	228,069
Income taxes	82,527	260	(68,298)	14,489
Net income	303,596	52,230	(155,589)	200,237
Total assets	10,459,856	(538,742)	(1,614,021)	8,307,093
Additions to property, plant and equipment	983,216	0	(287,382)	695,834

All amounts in € ´000s omitted

1998	Segment totals	Eliminations	Mobile communications	Consolidated
Total revenues	3,906,321	(162,738)	(913,148)	2,830,435
Depreciation and amortization	916,745	407	(102,510)	814,642
Interest income	59,719	(15,896)	(3,417)	40,406
Interest expense	245,256	(15,896)	(17,341)	212,019
Income taxes	209,870	955	(87,450)	123,375
Net income	513,776	98,321	(182,623)	429,474
Total assets	9,989,637	(431,649)	(1,199,229)	8,358,759
Additions to property, plant and equipment	919,508	0	(158,674)	760,834

In 2000 and 1999, more than 97% and 99%, respectively, of the revenues generated by the reportable segment relate to operations in Austria and essentially all of the long-lived assets were located in Austria.

(26) SUBSEQUENT EVENTS

In the first quarter 2001, the shareholders approved the transformation of Mobilkom Austria AG into a limited-liability partnership, Mobilkom Austria AG und Co KG. As the application relating to the change in tax status was filed with the Companies Register prior to March 30, 2001, it will be effective for tax purposes as of June 30, 2000 and will result in Mobilkom Austria no longer being a taxable entity. As Mobilkom Austria's tax results will be reported in the tax return of its partners, all deferred tax assets and liabilities will be charged into tax expense in Mobilkom Austria's financial statements. The Company will report its share of deferred tax assets und liabilities in the balance sheet. The one-time tax effect will be reported as tax expense or tax benefit.

As at February 1, 2001, the Company guaranteed cross-border lease obligations for Mobilkom Austria totaling US$ 50 million.

All amounts in € ´000s omitted

Independent Auditors' Report

The Supervisory Board and Stockholders
Telekom Austria Aktiengesellschaft:

We have audited the accompanying consolidated balance sheets of Telekom Austria Aktiengesellschaft (Telekom Austria) as at December 31, 2000 and 1999, and the related consolidated statements of operations, cash flows and changes in stockholders' equity for each of the years in the three year period ended December 31, 2000. These consolidated financial statements are the responsibility of the Company's management. Our responsibility is to express an opinion on these consolidated financial statements based on our audits.

We conducted our audits in accordance with auditing standards generally accepted in the United States of America. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the consolidated financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the consolidated financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation. We believe that our audits provide a reasonable basis for our opinion.

In our opinion, the consolidated financial statements referred to above present fairly, in all material respects, the financial position of Telekom Austria as at December 31, 2000 and 1999, and the results of its operations and its cash flows for each of the years in the three year period ended December 31, 2000, in conformity with accounting principles generally accepted in the United States of America.

Vienna, March 30, 2001

Grant Thornton - Jonasch & Platzer
Wirtschaftsprüfungs- und Steuerberatungs-OHG

KPMG Austria GmbH
Wirtschaftsprüfungs- und
Steuerberatungsgesellschaft

▸2000 ▸2001 ▸2002 ▸2003

Mobilkom Austria AG
Consolidated Balance Sheet

(in € ´000s omitted, except per share information)

	December 31, 2000	December 31, 1999
ASSETS		
Current assets		
Cash and cash equivalents	36,988	72,491
Accounts receivable, net of allowances of € 71,457 and € 67,865 as at December 31, 2000 and 1999	191,297	194,578
Receivables due from related parties	46,129	54,090
Inventories	44,175	73,116
Prepaid expenses	51,235	27,963
Other current assets	31,386	7,737
Total current assets	401,210	429,975
Property, plant and equipment, net	753,003	581,238
Intangible assets, net	415,387	240,619
Investments	3,934	2,251
Deferred tax assets	164,151	185,505
Other assets	226,332	214,527
TOTAL ASSETS	1,964,017	1,654,115
LIABILITIES AND STOCKHOLDERS' EQUITY		
Current liabilities		
Short-term borrowings	91,202	88,919
Accounts payable	184,549	160,187
Accrued liabilities	22,095	19,562
Payables to related parties	63,952	51,758
Deferred income	62,956	38,599
Income taxes payable	26,108	84,840
Deferred income taxes	51	1,800
Other current liablities	31,343	27,840
Total current liabilities	482,256	473,505
Long-term debt, net of current portion	430,837	219,323
Lease obligations, net of current portion	214,958	201,575
Other	34,580	38,743
Stockholders' equity		
Common stock, issued and outstanding shares 100,000 with par value of € 726.73	72,673	72,673
Additional paid-in capital	7,819	7,091
Retained earnings	720,842	641,320
Accumulated other comprehensive income (loss)	52	(115)
Total stockholders' equity	801,386	720,969
TOTAL LIABILITIES AND STOCKHOLDERS' EQUITY	1,964,017	1,654,115

See accompanying notes to consolidated financial statements

▸2000 ▸2001 ▸2002 ▸2003

Mobilkom Austria AG
Consolidated Statements of Operations

(in € ´000s omitted, except per share information)

		2000	1999	1998
Operating revenues	a)	1,500,078	1,242,365	913,148
Operating expenses	b)			
Materials		(302,886)	(271,281)	(88,388)
Employee costs, including benefits and taxes		(98,107)	(74,281)	(50,409)
Depreciation and amortization		(174,442)	(120,763)	(102,510)
Other operating expenses		(663,507)	(550,269)	(370,946)
Operating income		261,136	225,771	300,895
Other income (expense)				
Interest income	c)	18,201	6,784	3,417
Interest expense	d)	(35,296)	(16,877)	(17,341)
Write-offs of investments		(1,577)	0	0
Other non-operating income (expense), net		1,840	(1,627)	(17,703)
Income before income taxes, minority interests and extraordinary items		244,304	214,051	269,268
Income tax expense		(76,034)	(68,298)	(87,450)
Minority interests		529	10,377	805
Income before extraordinary items		168,799	156,130	182,623
Extraordinary loss, net of tax		(1,343)	(542)	0
Net income		167,456	155,588	182,623
a) includes revenues from related parties of		254,152	265,352	181,282
b) includes operating expenses from related parties of		239,345	213,943	161,609
c) includes interest income from related parties of		386	3,414	3,098
d) includes interest expense from related parties of		3,019	0	0

See accompanying notes to consolidated financial statements

▸2000 ▸2001 ▸2002 ▸2003

Mobilkom Austria AG
Consolidated Statements of Cash Flows
(in € ´000s omitted, except per share information)

	2000	1999	1998
Cash generated from operations			
Net income	167,456	155,588	182,623
Adjustments to reconcile net income to cash generated from operations			
Depreciation and amortization of property, plant and equipment and intangible assets	174,442	120,763	102,510
Write-offs of investments	1,577	0	0
Employee benefit obligation - long term	1,353	624	569
Changes in allowance for doubtful accounts	25,364	21,009	6,882
Change in deferred taxes	17,521	5,135	18,855
Stock purchase plan	728	0	0
Loss on disposal of equipment	1,064	3,423	19,017
Changes in assets and liabilities, net of effect of business acquired			
Accounts receivable	(22,084)	(107,142)	(19,003)
Due from related parties	7,961	(14,036)	(38,417)
Inventories	28,940	(47,043)	(13,745)
Prepaid expenses	(23,272)	(25,351)	(2,325)
Other assets	283	(14,841)	14,040
Accounts payable	24,363	33,932	24,824
Accrued liabilities	(56,200)	2,281	63,492
Due to related parties	12,194	11,956	21,087
Other liabilities	26,305	28,879	11,030
	387,995	175,177	391,439
Cash used in investing activities			
Capital expenditures, including interest capitalized	(507,117)	(289,524)	(178,600)
Acquisitions and investments	(23,138)	(13,146)	(4)
Other	464	332	573
	(529,791)	(302,338)	(178,031)
Cash from (used in) financing activities			
Proceeds from issuance of long-term debt	73,764	0	0
Principal payments on long-term debt	(29,069)	(87,207)	0
Change in short-term bank borrowings	(67,562)	125,615	(323)
Changes in financing with Telekom Austria	218,019	0	0
Proceeds from sale of tax benefits	0	18,774	0
Dividends paid	(87,934)	(77,033)	(49,417)
Capital contributions by minority shareholders	0	29,297	7
	107,218	9,446	(49,733)
Effect of exchange rate changes	(925)	696	3
Net increase (decrease) in cash and cash equivalents	(35,503)	(117,019)	163,678
Cash and cash equivalents at beginning of period	72,491	189,510	25,832
Cash and cash equivalents at end of period	36,988	72,491	189,510
Cash paid for			
Interest	18,418	16,761	16,459
Income tax	118,232	66,849	12,001
Cash received for			
Interest	505	4,669	4,717
Income tax	0	0	4,108
Non-cash investing and financing			
Cross-border leasing	0	198,822	0

See accompanying notes to consolidated financial statements

Mobilkom Austria AG
Statement of Changes in Stockholders' Equity

(in € ´000s omitted, except per share information))

	Common stock					
	Number of shares	Par value	Additional paid in capital	Retained earnings	Accumulated other comprehensive income (loss)	Total stockholders' equity
Balance January 1, 1998	100,000	72,673	7,091	429,559	0	509,323
Dividends declared				(49,417)		(49,417)
Comprehensive income						
Net income				182,623		182,623
Unrealized gains on securities					1	1
Foreign currency translation adjustment					2	2
Total comprehensive income						182,626
Balance December 31, 1998	100,000	72,673	7,091	562,765	3	642,532
Dividends declared				(77,033)		(77,033)
Comprehensive income						
Net income				155,588		155,588
Unrealized gains on securities, net of € 4 deferred income taxes					8	8
Foreign currency translation adjustment					(126)	(126)
Total comprehensive income						155,470
Balance December 31, 1999	100,000	72,673	7,091	641,320	(115)	720,969
Dividends declared				(87,934)		(87,934)
Stock purchase plan			728			728
Comprehensive income						
Net income				167,456		167,456
Unrealized gains on securities, net of € 4 deferred income taxes					(7)	(7)
Foreign currency translation adjustment					174	174
Total comprehensive income						167,623
Balance December 31, 2000	100,000	72,673	7,819	720,842	52	801,386

See accompanying notes to consolidated financial statements

2000 2001 2002 2003

Notes to Consolidated Financial Statements

(in € ´000s omitted, except per share information)

(1) THE COMPANY AND SIGNIFICANT ACCOUNTING POLICIES

Description of business, organization and relationship with the Federal Republic of Austria

Mobilkom Austria Aktiengesellschaft (AG) and subsidiaries (the Company or Mobilkom Austria) operate in the mobile communications business. Mobile communications services offered by the Company include a wide range of digital and analog mobile communications services, like text messaging, e-commerce and information services. These activities are conducted and operated primarily in Austria, since 1999 also in Croatia and since 2000 in Liechtenstein (9.8% and 2.5% of consolidated revenues in 2000 and 1999, respectively).

As at April 22, 1996, Mobilkom Austria Aktiengesellschaft was incorporated. On May 1, 1996, the mobile communications operations were then transferred to the newly incorporated entity by Post und Telekom Aktiengesellschaft (PTA), an entity wholly owned by the Federal Republic of Austria.

In April 1997, STET Mobile Holding NV, an entity jointly held by Telecom Italia SpA and Telecom Italia Mobile SpA, a publicly-traded subsidiary of Telecom Italia SpA, purchased a 25% plus one share common stock interest in Mobilkom Austria leaving PTA with a 75% minus one common share interest in their subsidiary Mobilkom Austria. PTA later changed its name to Telekom Austria Aktiengesellschaft (Telekom Austria).

The Federal Republic of Austria, through Österreichische Industrie-Holding AG (ÖIAG), continues to be a significant shareholder owning approximately 47.8% of the voting common stock of Telekom Austria.

In addition to the transactions described in note (4), the Federal Republic of Austria authorizes and supervises the Österreichische Gesellschaft für Telekommunikationsregulierung mit beschränkter Haftung (Telekom Control GmbH) which regulates certain activities of both Telekom Austria and Mobilkom Austria. The government holds the taxing authority for the Austrian operations of Mobilkom Austria and levies taxes such as income and value-added taxes.

Basis of presentation

The consolidated financial statements of Mobilkom Austria AG have been prepared in accordance with accounting principles generally accepted in the United States of America (U.S. GAAP).

Principles of consolidation

The consolidated financial statements include the accounts of Mobilkom Austria AG and its subsidiaries in which the Company has a controlling financial interest. Significant intercompany accounts and transactions between the consolidated companies have been eliminated.

Comparative statements

Certain amounts in prior years have been re-classified for consistency of presentation purposes.

Cash and cash equivalents

The Company considers cash in banks and highly liquid investments, with original maturities of three months or less, cash and cash equivalents. The Company has a cash pooling arrangement with Telekom Finanzmanagement GmbH (TFG), a subsidiary of Telekom Austria. These balances managed by TFG are classified as cash as the Company has immediate access to the amounts. Balances totaled € 18,358 and € 68,860 in 2000 and 1999, respectively. Interest income received on these balances totaled € 386 and € 3,414 in 2000 and 1999, respectively.

Marketable securities

Marketable debt and equity securities, other than investments accounted for by the equity method, are categorized as available-for-sale. These securities are reported at fair value at the balance sheet date and unrealized gains and losses are included in accumulated other comprehensive income, net of applicable deferred tax.

As at December 31, 2000 and 1999, Mobilkom Austria held securities available-for-sale at fair value € 498 and € 231, including gross unrealized holding gains of € 2 and € 13, respectively.

Inventories

The majority of inventory balances consist of merchandise sold in Mobilkom shops as well as items sold to dealers. Additionally, the Company maintains supply items used for the construction of networks mainly for the Company's own use. Inventories are valued at the lower of cost or market, cost being determined on the basis of weighted average cost.

Property, plant and equipment

Property, plant and equipment are stated at cost and include certain costs which are capitalized during the installation and expansion of the telecommunication network. Value-added tax (VAT) which is charged by suppliers and subject to refund from the tax authorities is not included in cost.

Depreciation on plant and equipment is calculated on the straight-line method over the estimated useful lives of the assets. Leasehold improvements are amortized straight-line over the lease term or the estimated useful life of the asset.

The useful lives are:

	Years
Communications network and other equipment	8
Software	5 - 8
Buildings and leasehold improvements	10 - 25

Maintenance and repairs are expensed as incurred while replacements and improvements are capitalized. The cost and accumulated depreciation of assets sold or retired are removed from the accounts, and any resulting gain or loss is reflected in other income or expense.

All amounts in € ´000s omitted

▶2000 ▶2001 ▶2002 ▶2003

Intangible assets

Intangible assets are stated at cost and are amortized straight-line over the estimated useful life over the periods shown below:

	Years
Goodwill	5
Wireless licenses	10 - 15
Patents and proprietary technology	5 - 20
Other	20

Advertising and promotional cost

Advertising and promotional costs are expensed as incurred and total € 119,465, € 86,532 and € 50,060 in 2000, 1999 and 1998, respectively.

Income taxes

Income taxes are accounted for under the liability method. Deferred tax assets and liabilities are recognized for the future tax consequences attributable to differences between the financial statement carrying amounts of existing assets and liabilities and their respective tax bases, and operating loss and tax credit carry-forwards. Deferred tax assets and liabilities are measured using enacted tax rates expected to apply to taxable income in the years in which these temporary differences are expected to be recovered or settled. The effect on deferred tax assets and liabilities of changes in tax rates is recognized as income or expense in the period that includes the enactment date.

Investment tax credits are recognized as a reduction of income taxes in the period in which those credits are granted.

Concentration of risks

A portion of the Company's revenue is derived from services provided to others in the telecommunications industry, mainly to providers of fixed network telecommunications, foreign cellular companies and retailers of cellular handsets. As a result, the Company has some concentration of credit risk in its customer base. The Company performs ongoing credit evaluations of its large customers' financial condition to support its receivables. As at the balance sheet dates, the Company does not have any significant concentration of business transacted with a particular supplier or lender that could, if suddenly eliminated, severely impact the operations. The Company also does not have a concentration of available sources of labor, services, franchises, or licenses or other rights that could, if suddenly eliminated, severely impact the operations. The Company invests its cash through a cash pooling with TFG, which invests the funds under management in several high-quality credit institutions.

Foreign currency translation

The Company prepared and reported its consolidated financial statements in Austrian schilling and then translates them into EURO (€ or EUR).

In the individual company financial statements, foreign currency receivables, cash in banks and liabilities are converted at the exchange rate applicable on the transaction date. Unrealized foreign currency losses and gains due to exchange rate fluctuations through the balance sheet date are recognized in the income statement.

All amounts in € ´000s omitted

The functional currency for the Company's foreign operations is the applicable local currency. The translation from the applicable foreign currencies to the euro is performed for assets and liabilities using the current exchange rate in effect at the balance sheet date. Revenue and expense accounts are translated using the weighted average exchange rate during the period. The resulting translation adjustments are recorded as other comprehensive income or loss.

Revenue recognition

The Company recognizes usage and roaming service revenue based upon minutes of traffic processed or contracted fee schedules when the services are rendered. Revenues due from foreign operators for international roaming calls are included in revenues in the period in which the call occurs.

Access fees to mobile customers and certain prepaid usage services are billed in advance resulting in deferred revenues. Cash discounts and incentives are accounted for as a reduction of revenues when granted or, where a service continuation exists, ratably over the contract period.

Product and other service revenues are recognized when the products are delivered and accepted by customers and when services are provided in accordance with contract terms.

In December 1999, the SEC issued Staff Accounting Bulletin No. 101, Revenue Recognition in Financial Statements (SAB 101), which the Company adopted in the fourth quarter 2000. SAB 101 addresses, among other items, when revenue relating to non-refundable, up-front fees should be recognized. Upon adoption the Company performed a detailed analysis of the activation fees and recorded deferred revenues when revenues exceed expenses. These amounts will be recognized over the average expected contract term. When direct incremental expenses exceed revenues the amounts are not deferred. The impact from implementation was immaterial.

Impairment of long-lived assets and long-lived assets to be disposed of

The Company accounts for long-lived assets in accordance with the provisions of SFAS No. 121 Accounting for the Impairment of Long-Lived Assets and of Long-Lived Assets to Be Disposed of. This Statement requires that long-lived assets and certain identifiable intangibles be reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount of an asset may not be recoverable. Recoverability of assets to be held and used is measured by a comparison of the carrying amount of an asset to undiscounted future net cash flows expected to be gener-ated by the asset. If such assets are considered to be impaired, the impairment to be recognized is measured by the amount by which the carrying amount of the assets exceeds the fair value of the asset. Assets to be disposed of are reported at the lower of the carrying amount or estimated proceeds less cost to sell.

Derivative financial instruments

The Company uses the treasury services provided by TFG. The TFG has established a control environment which includes policies and procedures for risk assessment, approval, reporting and monitoring of derivative financial instrument activities in connection with the derivative management services provided to the Company. The Company has entered into interest rate swap agreements to manage its exposure to adverse fluctuations in interest rates.

The Company is not a party to leveraged derivatives and the policies prohibit the holding or issuing of financial instruments for speculative purposes.

All amounts in € ´000s omitted

Interest rate swap agreements that the Company designates as a hedge of debt obligations are accounted for on an accrual basis. Interest rate differentials associated with interest rate swaps used to hedge the Company's debt obligations are recorded as an adjustment to interest payable.

Realized gains or losses that occur from the early termination or expiration of contracts are deferred and recorded in income over the remaining period of the original swap agreement.

The effectiveness of a hedge is measured by historical and probable high correlation of changes in fair value of the hedging instruments with changes in the value of the hedge item. If correlation ceases to exist, hedge accounting is terminated and gains and losses are recorded in other income. Derivatives that do not meet the conditions for hedge accounting are reported at fair value either as other asset or other liability.

Fair value of financial instruments

The carrying amounts for cash, accounts receivable, accounts payable, receivables due from and payables due to related parties and accrued liabilities approximate their fair value. The fair value of securities available-for-sale is based on quoted market rates. The fair value of long-term debt and swap agreements is determined based on the cash flows from such financial instruments discounted at the Company's estimated current interest rate to enter into similar financial instruments.

Use of estimates

The Company offers its customers a loyalty program where they receive mobilpoints for most invoiced services. Customers can use the points to purchase various products. Points accumulated are recorded as a liability as earned with the corresponding offset against revenues. Points are valued based on the average cost of the products available for purchase. As at December 31, 2000 and 1999, respectively, € 16 million and € 3 million were recorded in accrued liabilities.

The preparation of financial statements in conformity with generally accepted accounting principles requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements, and revenue and expenses during the period reported. Actual results could differ from those estimates.

New accounting pronouncements

In June 1998, the Financial Accounting Standards Board (FASB) issued Statement of Financial Accounting Standards No. 133, Accounting for Derivative Instruments and Hedging Activities (SFAS 133). Among other provisions, it requires that entities recognize all derivatives as either assets or liabilities in the statement of financial position and measure those instruments at fair value. Gains and losses resulting from changes in the fair values of those derivatives would be accounted for depending on the use of the derivative and whether it qualifies for hedge accounting. The effective date of this standard was delayed via the issuance of Statement of Financial Accounting Standards No. 137. The effective date for SFAS No. 133, as amended by Statement of Financial Accounting Standards No. 138, is now for fiscal years beginning after June 15, 2000, though earlier adoption is encouraged. The Company adopted SFAS 133 on January 1, 2001 as a one-time cumulative adjustment.

All amounts in € ´000s omitted

However, because of the insignificant use of derivatives, the adoption of the standard will not have a significant effect on the financial position or results of operations. The Company expects that the adoption of Statement 133 will increase the volatility of other comprehensive income. In general, the volatility will vary with the level of derivative activities during any period. The Company believes it is not likely that these amounts will be material in the future.

In September 2000, the FASB issued SFAS 140, Accounting for Transfers and Servicing of Financial Assets and Extinguishments of Liabilities, a replacement of SFAS Statement No. 125. This Statement revises the standards for accounting for securitization and other transfers of financial assets and collateral and requires certain financial statement disclosure. SFAS 140 is effective for transactions occurring after March 31, 2001. The new disclosure requirements are effective for fiscal years ending after December 15, 2000. The impact of implementation is expected to be immaterial.

(2) BUSINESS COMBINATIONS

All acquisitions have been accounted for under the purchase method with the excess of the purchase price over the estimated fair value of the net assets acquired accounted for as goodwill. The results of operations of the acquired businesses are included in the consolidated financial statements from the dates of the acquisition.

In 1998, Mobilkom Austria and other investors formed VIP-Net GSM d.o.o (VIP-Net), a cellular phone service provider in Croatia. At foundation, Mobilkom Austria held a 30% share in VIP Net. In 1999 and 2000, Mobilkom Austria acquired an additional interest in VIP-Net through several step acquisitions, resulting in an increase in the Company's common stock holding in VIP-Net to 61.0%. The total cost of these step acquisitions was € 19,718 and € 12,814 in 2000 and 1999. The purchase price was allocated to assets based on fair market value and the balance of € 15,980 was recorded as goodwill.

In January 2000 Mobilkom Austria founded a 100 % subsidiary in Liechtenstein to operate as a cellular phone service provider, which is fully consolidated. The Company started providing services to customers in July 2000.

(3) ACCOUNTS RECEIVABLE

The roll forward of the allowance for accounts receivable is as follows:

	2000	1999
Allowance beginning of the year	67,865	46,856
Charged to expenses	25,364	21,095
Amounts written-off	(21,772)	(86)
Allowance at the end of the year	71,457	67,865

All amounts in € ´000s omitted

▸2000 ▸2001 ▸2002 ▸2003

(4) RELATED PARTY TRANSACTIONS

The majority of related party transactions are carried out with Telekom Austria. The Company receives and provides interconnection services as well as various other services from and to Telekom Austria. Interconnection revenues from Telekom Austria were € 197,712, € 205,892 and € 152,752 interconnection expenses were € 118,986, € 97,468 and € 71,007 in 2000, 1999 and 1998, respectively. Other services rendered to Telekom Austria, like cellular telephone services and sale of handsets, totaled € 23,293, € 18,901 and € 9,079. Other services purchased from Telekom Austria, like repairs and maintenance, and support totaled € 97,741 € 89,977 and € 72,126 in 2000, 1999 and 1998, respectively.

In addition to the services noted above, TFG, a subsidiary of Telekom Austria, has provided long-term financing to Mobilkom Austria in connection with the purchase of the UMTS license as disclosed in note (10) and note (6).

The Company also transacts a limited amount of business with the Federal Republic of Austria and various government agencies and entities owned or controlled by the government. Disclosures below present only balances and transactions relating to ÖIAG and its subsidiary Österreichische Post AG. Other government agencies and government-owned entities are not disclosed for practical reasons. None of the individual accounts associated with government agencies or government-owned entities are significant to the Company. The majority of the services purchased from the ÖIAG consist of postal and other administrative services. Amounts charged for services received totaled € 15,146, € 17,977 and € 11,902 in 2000, 1999 and 1998, respectively. Purchases by ÖIAG from Mobilkom Austria consist primarily of cellular phone services and handsets. Revenues for these transactions totaled € 29,764, € 37,894 and € 17,229 in 2000, 1999 and 1998, respectively.

Services purchased from Telecom Italia and subsidiaries for technical and management services totaled € 932, € 3,480 and € 3,156 in 2000, 1999 and 1998, respectively. Roaming revenues billed to Telecom Italia were € 3,383, € 2,665 and € 2,222 while roaming charges by Telecom Italia were € 6,540, € 5,041 and 3,418 in 2000, 1999 and 1998, respectively.

The following is the detail of the accounts receivable with related parties:

At December 31,	2000	1999
Telekom Austria	45,034	48,702
ÖIAG	124	5,001
Telecom Italia	922	387
Other	49	0
Total	46,129	54,090

The following is the detail of the accounts payable with related parties:

At December 31,	2000	1999
Telekom Austria	57,087	50,416
ÖIAG	5,358	682
Telecom Italia	1,507	660
Total	63,952	51,758

All amounts in € ´000s omitted

(5) INVENTORIES

Inventories consist of:

At December 31,	2000	1999
Spare parts, cables and supplies	2,261	2,732
Merchandise	41,914	70,384
Total	44,175	73,116

(6) INTANGIBLE ASSETS

Intangible assets consist of:

At December 31,	2000	1999
Wireless licenses	476,068	303,692
Patents and proprietary technology	16,502	6,491
Goodwill	17,690	1,772
Other	5,307	3,744
Total intangibles	515,567	315,699
Less accumulated amortization	(100,180)	(75,080)
Net intangibles	415,387	240,619

Amortization expense was € 25,410, € 21,412 and € 21,197 for the years 2000, 1999 and 1998, respectively.

The licenses are recorded at cost and amortized on a straight-line basis over the estimated useful life. In November 2000, Mobilkom Austria purchased a UMTS license during the Austrian government's auction process with a term of 20 years for € 171,540. Mobilkom Austria obtained an intercompany loan from TFG to finance this purchase as disclosed in note (10). Amortization over the useful life will begin once the network is constructed and the asset is ready for commercial use and sale.

The Company holds licenses to operate as a mobile telecommunications service provider from the Austrian and the Croatian Communication Commission. The license from the Croatian government, granted for 10 years, was acquired for € 13,672 in 1998. The Croatian government is obligated to refund part of the payment if an additional competitor is allowed to operate on the Croatian market before 2003.

All amounts in € ´000s omitted

(7) PROPERTY, PLANT AND EQUIPMENT

Property, plant and equipment transferred to the Company by the government was recorded upon transfer at cost less accumulated depreciation as at that date. Acquisitions since that date have been recorded at cost.

At December 31,	2000	1999
Land	1,483	130
Buildings and leasehold improvements	25,676	13,029
Communications network and other equipment	929,053	684,619
Software	129,277	86,457
Construction in progress, network	68,437	51,259
	1,153,926	835,494
Less accumulated depreciation and amortization	(400,923)	(254,256)
Property, plant and equipment, net	753,003	581,238

Depreciation expense was € 149,032, € 99,351 and € 81,313 in 2000, 1999 and 1998, respectively. These amounts include amortization of software totaling € 23,561, € 12,902 and € 6,672 in 2000, 1999 and 1998, respectively.

(8) SHORT-TERM BORROWINGS

The Company's short-term borrowings include:

At December 31,	2000	1999
Current portion of long-term debt	72,557	34,256
Lines of credit	0	54,663
Current portion of lease obligations	18,645	0
Total	91,202	88,919

The weighted-average interest rate on lines of credit was 3.843% in 1999.

(9) DEFERRED INCOME

At December 31,	2000	1999
Unearned income	61,530	37,173
Unamortized balance on sale of tax benefits	17,047	18,473
Total	78,577	55,646
Non-current portion	(15,621)	(17,047)
Current portion	62,956	38,599

Additional information concerning the sale of tax benefits is contained in note (11) Leasing.

All amounts in € ´000s omitted

(10) LONG-TERM DEBT

The outstanding long-term debt, other than lease obligation, is summarized below:

At December 31,	Maturity	2000	1999
Bank debt	2001-2008	242,771	231,616
Long-term financing with Telekom Austria	2005	218,018	0
Other	2001	42,605	21,963
		503,394	253,579
Less current portion of long-term debt		(72,557)	(34,256)
Long-term debt, net of current portion		430,837	219,323

Bank debt balances of € 149,423 and € 178,419 at December 31, 2000 and 1999 are subject to guarantees by the Federal Republic of Austria.

In October 1999, a subsidiary entered into a senior debt facility consisting of an Austrian Export Credit Agency loan in an amount of € 77,628 and a loan provided by the European Bank for Reconstruction and Development and the Nordic Investment Bank in the amount of € 42,372. These loans were granted to finance the expansion of VIP-Net on the Croatian market. The debt bears interest ranging from 6.33% to 8.63% and 4.78% to 7.08% in 2000 and 1999, respectively; commitment fees are incurred at 0.5% payable quarterly on the undrawn and uncancelled commitment. VIP-Net had unused long-term credit lines of € 46,059 as at December 1999.

The Company has granted certain sureties over the assets of VIP-Net in support of the facility arrangements. In accordance with the senior debt facility agreement, VIP-Net is required to maintain certain financial ratios, which were met for 2000 and 1999.

In February 2000, VIP-Net's minority shareholders granted a credit line up to € 22,025 of which € 4,320 have not been drawn as at December 31, 2000.

The year-end interest rates for the long-term debt excluding interest rate swap agreements for 2000 and 1999 are as follows:

	2000	1999
Bank loans	6.04%	5.74%
Long-term financing with Telekom Austria	5.19%	0%

Following is a table that shows the aggregate amounts of long-term debt maturing during the next five years and thereafter:

2001	72,557
2002	2,329
2003	60,366
2004	63,881
2005	243,076
Thereafter	61,185

All amounts in € ´000s omitted

(11) LEASING

Operating leases

The Company leases equipment used in its operations which are classified as operating leases. The lease contracts expire on various dates through 2005.

Future minimum lease payments for non-cancelable operating leases and cross-border leases as at December 31, 2000 are:

	Cross-border leases	Operating leases
2001	18,645	10,814
2002	19,790	10,597
2003	19,962	10,393
2004	21,726	10,155
2005	22,348	10,053
after 2005	289,052	0
Total minimum lease payments	391,523	52,012
Less amount representing interest	(157,920)	
Present value of lease payments	233,603	
Less current portion	(18,645)	
Non-current lease obligations	214,958	

Total rent expense was € 33,885, € 21,876 and € 10,787 in 2000, 1999 and 1998, respectively.

Cross-border leases

In 1999, the Company entered into cross-border lease transactions whereby certain equipment items (mainly transceiver stations, base station controllers and location registers) were sold to four U.S.-based trusts and leased back over certain terms. At the same time, the Company entered into Payment Undertaking Agreements (PUA) with a different counter-party where the counter-party agrees to make lease payments on behalf of the Company in exchange for a deposit. The counter-party in the PUA received up-front payments equaling € 198,822 for the debt assumed. The difference between the proceeds and the present value of the future minimum lease payments represents a gain on sale of a tax benefit. The net cash effect in 1999 resulting from these transactions related to the total gain from the sale of the tax benefit and totaled € 18,774. The Company is amortizing this difference over the term of the lease. The cash deposited (recorded as an other asset) made in connection with the PUA contracts and the lease obligation are recorded separately on the balance sheets in the amount of € 233,603 and € 201,575 as at December 31, 2000 and 1999, respectively, as the Company has not been released from its obligation under the lease and a legal right of offset does not exist. Accordingly, interest income and expense totaling € 16,008 and € 2,753 have been recognized in 2000 and 1999, respectively.

All amounts in € ´000s omitted

(12) DEFINED CONTRIBUTION PENSION PLANS

Pension benefits are generally provided by social security for employees and by the government for civil servants in Austria. The Company is required to assist in funding the Austrian government's pension and health care obligations to the Company's current and former civil servants and their surviving dependents. The Company is legally obligated to make annual contributions to the government of 27.5% until September 30, 2000 of the compensation of active civil servants (including contributions from the civil servants). The contributions to the government were increased to 28,3% beginning October 1, 2000. The Company has no additional obligation. Contributions to the government, net of the share contributed by the civil servants, was € 2,766, € 2,697 and € 2,404 in 2000, 1999 and 1998, respectively.

(13) STOCK BASED COMPENSATION

Stock option plan

On October 4, 2000, the shareholders of Telekom Austria approved a stock option plan. Based on that approval Mobilkom Austria formed a separate stock option plan which is a mirror plan to Telekom Austria's plan. Under this plan, the Company may grant a total of 854,633 options, each of which entitle eligible grantees upon exercise of the option to receive at their choice either cash equal to the difference between the average quoted price of Telekom Austria stock during the five trading days preceding the exercise and the IPO price of € 9, or shares at an exercise price of € 9. One option is convertible into one share. The options granted may be exercised on specific dates between May 31, 2002 and February 27, 2004 as long as the average share price during the five days prior to exercise exceeds the initial public offering price by 30% or more. Mobilkom Austria will recognize compensation expense over the applicable service periods if the performance hurdles are met.

On November 21, 2000 the Company granted all 854,633 options, all of which are outstanding as at December 31, 2000.

As the stock option plan is accounted for in accordance with APB Opinion 25 and related interpretations, the amount of the liability is measured each period based on the current stock price. As the stock price as of December 31, 2000 does not meet the hurdle, no compensation expense was recorded in 2000.

For the American call option purchase to cover the obligation in connection with the stock option plan see note (15).

Stock purchase plan

ÖIAG, the selling shareholder of Telekom Austria, approved a stock purchase plan for employees of Telekom Austria and its subsidiaries in which Telekom Austria has at least a 50% interest. Under the stock purchase plan, each eligible employee was allowed to purchase shares worth up to € 1,817 (25,000 Austrian schilling) at a total discount of 45% from the offering price made up of the 5% Austrian retail discount and an additional 40% employee discount if they purchase at least € 654 (9,000 Austrian schilling) worth of shares. The maximum benefit to each employee was € 727 (10,000 Austria schilling) which must be refunded to ÖIAG if the employee sells the shares before January 1, 2003. The Company reported for 2000 a capital contribution by ÖIAG of € 728 and compensation expense in the same amount.

All amounts in € ´000s omitted

(14) INCOME TAXES

Income before income taxes, minority interest and extraordinary items is attributable to the following geographic locations:

	2000	1999	1998
Austria	246,359	243,764	271,031
Croatia and Liechtenstein	(2,055)	(29,713)	(1,763)
Total	244,304	214,051	269,268

Income tax expense (benefit) attributable to income before taxes, minority interest and extraordinary items for the years ended December 31, consisted of the following:

	2000	1999	1998
Current (Austria)	59,597	63,163	68,595
Deferred			
Austria	14,704	13,627	19,468
Croatia and Liechtenstein	1,733	(8,492)	(613)
	16,437	5,135	18,855
Total	76,034	68,298	87,450

The Company is subject to income taxes in Austria at a rate of 34% of taxable income. The following table shows the principal components for the difference between the effective income tax rate and the Austrian statutory income tax rate based on income before income taxes, minority interest and extraordinary items:

	2000	1999	1998
Income tax at statutory rate	83,063	72,778	91,551
Foreign tax rate differential	646	(297)	(18)
Tax-free income	(14,682)	(5,329)	(4,109)
Permanent differences	1,344	1,936	26
Change in tax rate in Croatia	5,089	0	0
Other	574	(790)	0
Effective income tax	76,034	68,298	87,450
Effective income tax rate	31.12%	31.91%	32.48%

Tax-free income mainly comprises investment tax credits.

The tax effects of temporary differences that give rise to deferred tax assets and liabilities at December 31 are as follows:

	2000	1999
Tax assets		
Goodwill	162,372	179,000
Accounts receivable	2,097	1,239
Net operating loss carry-forward	4,111	8,155
Employee benefit obligation	909	732
Other	8,238	27
Total deferred tax assets	177,727	189,153

All amounts in € ´000s omitted

▶2000 ▶2001 ▶2002 ▶2003

	2000	1999
Tax liabilities		
Property, plant and equipment	(1,477)	(2,052)
Accrued liabilities	(477)	(2,247)
Untaxed reserves	(445)	(345)
Other	(8,348)	(11)
Total deferred tax liabilities	(10,747)	(4,655)
Net deferred taxes	166,980	184,498

At December 31, 2000 and 1999, the Company had approximately € 21,628 and € 23,300 respectively, of loss carry-forwards in Croatia and Liechtenstein with an expiration period of five years.

In assessing the recoverability of deferred tax assets, management considers whether it is more likely than not that all the deferred tax assets will be realized. The ultimate realization of deferred tax assets is dependent upon the generation of future taxable income during the periods in which those temporary differences become deductible. Management considers the scheduled reversal of deferred tax liabilities and projected future taxable income in making this assessment. Based on the level of historical taxable income and projections for future taxable income over the periods in which the deferred tax assets are deductible, management believes it is more likely than not the company will realize all the benefits of these deductible differences.

(15) FINANCIAL INSTRUMENTS

The Company enters into various types of financial instruments in the normal course of business including derivative financial instruments, for purposes other than trading.

By their nature, all such instruments involve risk, including market risk and credit risk of non-performance by counter-parties, and the maximum potential loss may exceed the amount recognized in the balance sheets. However, at December 31, 2000 and 1999, in management's opinion the probability of non-performance of the counter-parties in these financial instruments was remote.

Credit risk

The Company monitors its exposure to credit risk. The Company does not have any significant exposure to any individual customer or counter-party, nor does it believe that there are any other major concentrations of credit risk, relating to any financial instruments other than noted under section concentration of credit risk in significant accounting policies.
The Company does not require collateral in respect of financial assets. In order to reduce the risk of non-performance by the other parties to swap agreements, the contracts are subject to the International Swap Dealers Agreement.

Market risk

The market risk is monitored by using value at risk models for interest rate risk for the long-term debt and derivative portfolio.

Interest rate swap agreements

The Company entered into interest rate swaps to reduce the aggregate exposure to changes in floating interest rates of the debt portfolio. Fixed interest rate payments as of December 31, 2000, are based on 5.71%. Floating-rate payments are based on rates tied to different Inter-Bank Offered Rates.

All amounts in € ´000s omitted

The following table indicates the types of swaps in use at December 31, 2000 and 1999, and their weighted-average interest rates and the weighted-average remaining terms of the interest rate swap contracts. Average variable rates are those in effect at the reporting date and may change significantly over the lives of the contracts:

	2000	1999
Variable to fixed swaps in euro (€)		
Notional amount in €	36,336	36,336
Average receive rate	4.18%	3.52%
Average pay rate	5.71%	5.71%
Average maturity in years	3.3	4.3

The notional amounts of the derivative instruments above do not represent amounts exchanged by the parties and, therefore, are not a measure of our exposure. The Company's exposure is limited to the fair value of the contracts with a positive fair value plus interest receivable, if any, at the reporting date.

American call option

On November 21, 2000 Telekom Austria purchased 854,633 American call options acting as an agent for Mobilkom Austria for a premium of € 2,794. The expiration date is February 27, 2004. The underlying share of the American call option is the share of Telekom Austria AG. The strike and execution price of the call option is € 9 and settlement is either physical delivery of the shares or cash, at the request of Telekom Austria. The American call option will be used to satisfy any obligation resulting from the stock option plan of Mobilkom Austria. The American call option is recorded at its fair value of € 1,353 in other current assets.

Fair value

The fair value of a financial instrument is the price at which one party would assume the rights and/or duties of another party. Fair values of financial instruments have been determined with reference to available market information at the balance sheet date. Considering the variability of their value-determining factors, the fair values presented herein may not be indicative of the amounts that the Group could realize under current market conditions.

The following table summarizes the fair values of financial instruments:

	2000		1999	
	Carrying amount	Fair value	Carrying amount	Fair value
Cash and cash equivalents	36,988	36,988	72,491	72,491
Accounts receivable	191,297	191,297	194,578	194,578
Receivables due from related parties	46,129	46,129	54,090	54,090
Accounts payable	(184,549)	(184,549)	(160,187)	(160,187)
Payables due to related parties	(63,952)	(63,952)	(51,758)	(51,758)
Long-term debt	(430,837)	(432,739)	(219,323)	(223,466)
Interest rate swap agreements	0	(1,902)	0	(1,945)
American call option	1,353	1,353	0	0

All amounts in € ´000s omitted

▶2000 ▶2001 ▶2002 ▶2003

(16) REVENUES

Year ended December 31,	2000	1999	1998
Revenues from services	1,319,405	1,058,978	858,146
Revenues from sales of merchandise	180,673	183,387	55,002
Total	1,500,078	1,242,365	913,148

(17) OTHER OPERATING EXPENSES

Year ended December 31,	2000	1999	1998
Interconnection fees	148,414	103,435	71,713
Repairs	27,614	20,579	19,252
Services received	181,643	146,204	119,063
Advertising and marketing	119,465	86,532	50,060
Rental expenses	33,885	21,876	10,787
Commission expenses	49,515	70,121	40,439
Bad debt charged to expenses	25,364	21,095	7,331
Legal and other consulting	14,052	14,459	13,060
Charges from related parties	1,168	2,791	359
Training expenses	3,375	3,968	2,667
Travel expense	2,919	2,366	2,366
Other	56,093	56,843	33,849
Total	663,507	550,269	370,946

(18) OTHER NON-OPERATING INCOME (EXPENSE) – NET

Year ended December 31,	2000	1999	1998
Foreign exchange losses	(48,410)	(4,172)	(687)
Foreign exchange gains	49,814	1,611	250
Loss from retirement of assets	(1,080)	(3,423)	(19,017)
Write-off American call option	(1,441)	0	0
Other	2,957	4,357	1,751
Total	1,840	(1,627)	(17,703)

(19) EXTRAORDINARY ITEMS

The Company recorded extraordinary losses of € 1,343 and € 542, net of tax of € 692 and € 280, in 2000 and 1999, respectively. In 1999, amounts relate to the early redemption of long-term debt with a carrying amount of € 21,802. The amount in 2000 relates to an accrued loss representing management's commitment to contribute € 2 million to the Austrian fund for forced labor victims who were forced laborers between 1938 and 1945 and have raised claims against Austrian industry. In response to these claims, the Parliament of the Republic of Austria and representatives of Austrian companies have set up a fund to settle these claims. Management believes that the amount accrued represents the best estimate of the amount of loss.

All amounts in € ´000s omitted

(20) COMMITMENTS AND CONTINGENCIES

In the normal course of business the Company is subject to proceedings, law-suits and other claims, including proceedings under laws and regulations related to interconnection. Such matters are subject to many uncertainties, and outcomes are not predictable with certainty. Consequently, management is unable to ascertain the ultimate aggregate amount of monetary liability or financial impact with respect to these matters at December 31, 2000. These matters could affect the operating results of any one quarter when resolved in future periods. However, management believes that after final disposition, any monetary liability or financial impact the Company beyond that provided for at year-end would not be material to its annual consolidated financial statements.

(21) SUBSEQUENT EVENTS

On February 27, 2001, Mobilkom Austria purchased through intermediate subsidiaries 75% plus one share of SI.MOBIL d.d., Ljubljana (SI.MOBIL), a mobile communications provider in Slovenia with 15% market share and approximately 155,000 customers, for € 141.4 million in cash plus assumption of the seller's shareholder loan totaling € 3.7 million. The purchase of the remaining 25% less one share is set to occur until February 2002 for a fixed price of € 42.8 million subject to certain contingent requirements. Subsequent to closing, Mobilkom Austria committed itself to providing SI.MOBIL with a shareholder loan totaling € 12.2 million, € 8.2 million of which was paid to SI.MOBIL immediately.

In the first quarter 2001, the shareholders approved the transformation of Mobilkom Austria AG into a limited-liability partnership, Mobilkom Austria AG und Co KG. As the application relating to the change in tax status was filed with the Companies Register prior to March 30, 2001, it will be effective for tax purposes as of June 30, 2000 and will result in Mobilkom Austria no longer being a taxable entity. As the Company's tax results will be reported in the tax return of its partners, all deferred tax assets and liabilities will be charged into tax expense.

Independent Auditors' Report

The Supervisory Board and Stockholders
Mobilkom Austria Aktiengesellschaft:

We have audited the accompanying consolidated balance sheets of Mobilkom Austria Aktiengesellschaft (Mobilkom Austria) as at December 31, 2000 and 1999, and the related consolidated statements of operations, cash flows and changes in stockholders' equity for each of the years in the three year period ended December 31, 2000. These consolidated financial statements are the responsibility of the Company's management. Our responsibility is to express an opinion on these consolidated financial statements based on our audits.

We conducted our audits in accordance with auditing standards generally accepted in the United States of America. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the consolidated financial statements are free of material mis-statement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the consolidated financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation. We believe that our audits provide a reasonable basis for our opinion.

In our opinion, the consolidated financial statements referred to above present fairly, in all material respects, the financial position of Mobilkom Austria as at December 31, 2000 and 1999, and the results of its operations and its cash flows for each of the years in the three year period ended December 31, 2000, in conformity with accounting principles generally accepted in the United States of America.

Vienna, March 30, 2001

Grant Thornton - Jonasch & Platzer
Wirtschaftsprüfungs- und Steuerberatungs-OHG

KPMG Austria GmbH
Wirtschaftsprüfungs- und
Steuerberatungsgesellschaft

2000 2001 2002 2003

Useful Information

Financial Calendar 2001 of the Telekom Austria Group

11 April 2001	Results for fiscal 2000
30 May 2001	First-quarter results 2001
28 June 2001	Annual meeting of shareholders
29 August 2001	First-semester results 2001
27 November 2001	Third-quarter results 2001

Useful Facts About Telekom Austria Shares

Securities identification number (Austria)	-72000-
Securities identification number (Germany)	-588811-
SYMBOL	TKA
ISIN	AT0000720008
REUTERS	TELA.VIE
BLOOMBERG	TKA AV
Listings	Vienna Stock Exchange
	New York Stock Exchange (NYSE)
American Depositary Shares (ADS)	1 ADS = 2 ordinary shares *)
Number of shares	500,000,000 shares
Equity capital	EUR 1,090,500,000

Shareholders´ structure	Shares in per cent	Number of shares
ÖIAG	47.8%	239,082,935
STET International Netherlands (Telecom Italia)	29.8%	148,917,065
Free float (incl. stock held by staff members)	22.4%	112,000,000
Total number of shares	100.0%	500,000,000

Contact point for ADR holders:
Bank of New York
Jason Paltrowitz
Phone: 001 212 815 2209
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*) Telekom Austria is listed in New York in the form of American Depositary Rights (ADR). An ADR is a certificate that evidences the right to obtain two shares.

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2000 2001 2002 2003

Telecommunications Glossary

A1: Designation for Mobilkom Austria's GSM network.

ADSL (Asymmetric Digital Subscriber Line): Digital transmission method permitting data transmission rates of up to 8 Mbit/s to the customer and up to 700 Kbit/s from the customer, using standard telephone cables.

ATM (Asynchronous Transfer Mode): Network technology to transmit voice, data and multimedia in the form of cells of constant size (53 bytes) in a uniform network. ATM combines the advantages of connection-oriented transmission (fixed channel) with the advantages of packet-switched communi-cation. The bandwidth of ATM ranges from 2 Mbit/s to 2.5 Gbit/s.

Backbone: Main connections of a network, consisting as a rule of several network nodes connected to each other by transmission paths.

Broadband Service: Networks accesses for the customer with high data transmission rate.

Business to Business (B2B): Communicating and exchanging data on the Internet for economic purposes, with the objective of changing, shortening or rendering redundant certain business routines. The data of contractors, for example, are fed directly into the supplier's EDP systems. This helps to harmonize and integrate complex business transactions (inventory management, delivery times, etc.) between companies in a cost-effective manner.

Calling Number Porting: Enables the ultimate customer to keep the existing calling number in case of a change of network operator or location within the same area code.

Carrier Preselection: Network operator pre-dial, or preprogrammed network selection.

Carrier Services: Marketing of network services to national and international carriers (network operators) and resellers.

CLIP (Calling Line Identification Presentation): Display of the calling party's telephone number.

CLIR (Calling Line Identification Restriction): Restriction of the display of the calling party's number at the party called.

Collocation: The joint accommodation of technical facilities in certain premises.

Convergence: The growing together of computer technology, electronic media, and telecommunications.

Corporate IP Voice Integration: Solution for Internet and Intranet telephony in corporate networks.

Corporate Network: International and/or national data, video, and voice communications network of a company, networking different locations.

COST (European Cooperation in the Field of Scientific and Technical Research): European research initiative.

DANTE (Delivery of Advanced Networks to Europe Ltd.): Company incorporated in 1993 with the aim of organizing the provision of European-wide Internet connectivity for Europe's research facilities.

Dial-in-Ports: Dial-in equipment for Internet access in digital switching technology.

Digital Signature: A code that is assigned to a data packet at transfer and verifies the author, the content and the generating date with the help of encoding and decoding procedures. For example: a-sign.

Digital Voice Transmission: In digital transmission in the telecommunications network, analog voice signals are transformed into a digital impulse current of 64 Kbit/s. This results in a better voice quality and a lower failure susceptibility.

D-Network: Mobilkom Austria's analog mobile communication network.

Dual Mode: Mobile communications technology enabling the integration of different communication systems in a single telephone (e. g. GSM 900 and GSM 1800).

DWDM (Dense Wavelength Division Multiplexing): Use of several wavelengths for the transmission of optical signals via optical fiber.

EDI (Electronic Data Interchange): Internationally standardized data exchange in order to exchange information/data without newly registering it.

Electronic Commerce (e-Commerce): Designation for electronic exchange of data and goods in the Internet.

GPRS (General Packet Radio Service): Data carrier service based on GSM. GPRS permits data transmission rates between 56 and 114 Kbit/s.

GSM (Global System for Mobile Communications): Internationally standardized, European-wide digital radio network enabling both telephone-quality voice transmission as well as data transmission.

IN (Intelligent Networks): Architecture and/or design for the central control of services in an existing telecommunications network. Is meant to facilitate the launching, control and management of new services in a cost-effective, swift and efficient manner.

Interface: A defined transition point between devices, programs or individual areas of data processing.

IP (Internet Protocol): Part of the TCP/IP Communication Protocol. A network layer which contains the network address and is necessary for the routing of data packets to different networks and sub-networks.

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IP Address: Every customer and every server must be assigned an unambiguous address, either on a permanent or a dynamic basis (at the dial-up session). It contains the network and the host address and consists of four blocks of numbers, separated by dots.

ISDN (Integrated Services Digital Network): Digital telecommunications network enabling simultaneous voice and data transmission with one subsriber's line (bandwidth 2 x 64 Kbit/s to 2 Mbit/s).

Leased Lines: Transmission routes in fixed networks between two terminal equipment units for data transfer that are "always on" and ready for communication.

Macro Cells: Mobile communication transmission stations with a coverage area of serveral kilometers.

M-Commerce: Umbrella term for all types of transactions on the basis of mobile electronic media and wireless networks.

Micro Cells: Mobile communication transmission stations with a coverage area of few hundred meters. Micro Cells are used primarily in cities and for the coverage of buildings.

Modem: Data transmission facility converting digital data into analog signals for transmission over an analog network.

OES: Austrian electronic telephone system.

Origination: Transmission of a call from the calling ultimate customer to the interconnection point with the network of the alternative operator.

Page Impressions: The visual contact of a user with a content-relevant page. The count refers to the number of page call-ups, not to the requests for elements on that page (pictures, multimedia, ...)

Page Visits: The use of a web site (interpreted to be a coherent process) by a user, independent of the total number of pages that a user calls up.

Portability: Transferability of subscribers' numbers. .

PSTN (Public Switched Telephone Network): Public telephone network.

Roaming: A performance feature of cellular radio communication networks wich ensures the availability of activated mobile telephones regardless of location in third party mobile telephone networks.

Router: Equipment used for connecting physically different networks using the same transmission protocol. They forward e.g. data packets from LANs to the Internet and determine optimal transmission paths.

Seabone: Telecom Italia's international backbone network.

SIM (Subscriber Identity Module): Chip card for GSM telephones used to identify the subsribers.

SMS (Short Message Service): Features used in mobile communications for the transmission of short alphanumeric data (up to 160 characters).

Streaming Applications: Reproduction of videos or sound from the network without buffer memory.

Terminal Equipment: A device that can be operated at a communication network or a telecommunication system, e.g. telephones, fax machines, answering machines, ISDN PCs, etc.

Termination: Delivery (termination) of a call from the interconnection point to the ultimate customer called.

UMTS (Universal Mobile Telecommunications System): New, worldwide uniform mobile communications standard integrating various continental mobile communications standards. The most important performance criteria are greater capacities and larger data quantities also enabling the use of mobile mulitmedia equipment.

Value-added Services: Services and performances that go beyond the usual services and performances of a telecommunications network and/or alter existing services.

Value-added Data Services: Simplify or accelerate the internal or external news and information exchange through partially standardized and/or customer specific solution for data communications.

VoIP (Voice over IP): Voice communication via IP networks.

VPN (Virtual Private Network): Closed logical data network building on the structure of one or several other networks, but acting as an independent, separate network.

WAN (Wide Area Network): Wide area network, in contrast to a LAN (Local Area Network).

WAP (Wireless Application Protocol): Using a micro browser, special web sites from the Internet are transmitted to the mobile phone.

Financial Terms:

EBITDA: Operating income/loss + depreciation +/- other non-operating income (expenses), net.

Net Debt: Long-term debt + short-term borrowings minus cash and cash equivalents + short-term financial investments

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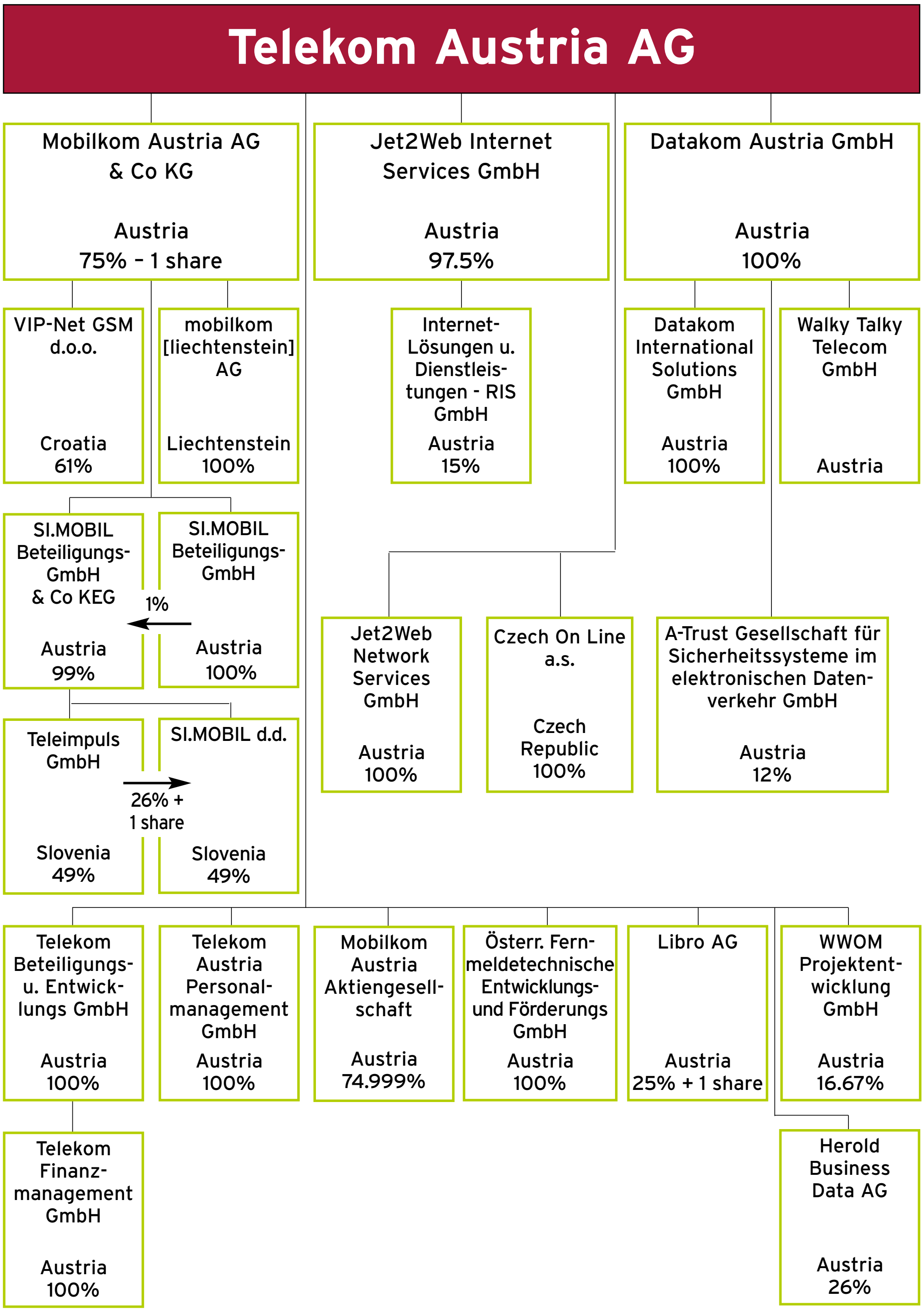
Structure



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